

**BANK MELLAT, HEAD OFFICE:
TAHRAN-IRAN
İSTANBUL TURKEY MAIN, ANKARA
AND İZMİR BRANCHES**

**INDEPENDENT AUDITOR'S
REPORT,
UNCONSOLIDATED FINANCIAL
STATEMENTS AND NOTES
FOR THE YEAR ENDED
31 DECEMBER 2012**

*Translated into English from the
Original Turkish Report*

CONVENIENCE TRANSLATION OF THE INDEPENDENT AUDITOR'S REPORT ORIGINALLY PREPARED AND ISSUED IN TURKISH

To the Board of Managers of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches:

We have audited the accompanying unconsolidated balance sheet of Bank Mellat, Head Office: Tahran-İran İstanbul-Turkey Main, Ankara and İzmir Branches ("the Branch") as at 31 December 2012 and the related statements of income, cash flows and changes in equity for the year then ended and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

The Branch's Board of Managers is responsible for the preparation and fair presentation of the financial statements in accordance with the regulation on "Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 and numbered 26333 and Turkish Accounting Standards ("TAS"), Turkish Financial Reporting Standards ("TFRS") and other regulations, circulars, communiqués and pronouncements in respect of accounting and financial reporting made by Banking Regulation and Supervision Agency ("BRSA"). This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the regulation on "Licensing and Operations of Audit Firms in Banking" published in the Official Gazette no: 26333 on 1 November 2006 and the International Standards on Auditing. We planned and performed our audit to obtain reasonable assurance whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the consideration of the effectiveness of internal control and appropriateness of accounting policies applied relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

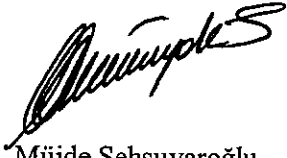
Independent Auditor's Opinion

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Bank Mellat, Head Office: Tahran-İran İstanbul-Turkey Main, Ankara and İzmir Branches as at 31 December 2012 and the results of its operations and its cash flows for the year then ended in accordance with the prevailing accounting principles and standards set out as per the Article 37 of the Banking Act No: 5411, and other regulations, communiqués and circulars in respect of accounting and financial reporting and pronouncements made by BRSA.

Additional paragraph for English translation:

The effect of the differences between the accounting principles summarized in Section 3 and the accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Financial Reporting Standards (IFRS) have not been quantified and reflected in the accompanying financial statements. The accounting principles used in the preparation of the accompanying financial statements differ materially from IFRS. Accordingly, the accompanying financial statements are not intended to present the Bank's financial position and results of its operations in accordance with accounting principles generally accepted in such countries of users of the financial statements and IFRS.

DRT BAĞIMSIZ DENETİM VE SERBEST MUHASEBECİ MALİ MÜŞAVİRLİK A.Ş.
Member of **DELOITTE TOUCHE TOHMATSU LIMITED**



Müjde Şehsuvaroğlu
Partner, SMMM

İstanbul, 8 April 2013

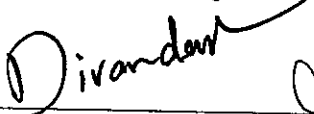
**THE UNCONSOLIDATED FINANCIAL REPORT OF
BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES AS OF 31 DECEMBER 2012**

Headquarter's Address : Taleghani Avenue. No: 327 Tahran – İran
Turkey Main Branch Address : Büyükdere Cd. Binbirçiçek Sk. No.1 34330 1.Levent-İstanbul/Türkiye
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E-mail address : mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS
- OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communiqué on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.

			
Ali Divandari	Younes Hormozi Sheikh Tabagh	Keramatallah Ahmadzadeh	Ahmet Arıöz
Chairman of the Board of Managers	Member of the Board of Managers and General Manager	Member of the Board of Managers and Vice General Manager	Member of the Board of Managers and Internal Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title : Yener Bozkurt / Accounting Department Chief
Phone No : (0212) 279 80 15
Fax No : (0212) 284 62 14

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SECTION ONE

GENERAL INFORMATION

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY:

Bank Mellat, Head Office: Tahrân-İran İstanbul Türkiye Main, Ankara and İzmir Branches ("the Branch"), which is based in Tahrân, Iran, established its branches in İstanbul, Ankara and İzmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH:

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahrân, Iran, is as follows:

Shareholders	Share Percentage (%)
Justice share recipients (provincial investors) (*)	30,00
Islamic Republic of Iran	20,00
Social Security Organisation of Iran	9,99
Saba Tamin Investment Co.	6,57
Bank Mellat's staff future security fund	5,00
Personnel shares	3,96
Other Shares Quoted on Stock Exchange	24,48
Total	100,00

(*) These shares have been distributed to the provinces of Iran and investment firms have been established within the provinces to be able to manage the shares. This was proclaimed to BRSA with the correspondence dated on 16 August 2011.

GENERAL INFORMATION (Continued)

III. EXPLANATION ABOUT THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, ANY CHANGES, AND THE INFORMATION ABOUT THE BRANCH SHARES THEY HOLD:

Title	Name	Responsibility	Title
Chairman of the Board of Managers:	Ali Divandari	Chairman	PHD (Doctor of Philosophy)
Members of Board of Managers:	Younes Hormozi Sheikh Tabagh	General Manager	Under Graduate
	Keramatallah Ahmadzadeh	Vice General Manager	Under Graduate
	Ahmet Arıöz	Vice General Manager	Under Graduate
			Under Graduate
Vice General Managers:	Ahmet Arıöz	Vice General Manager Internal Control and Responsible of Audit Risk Management	Under Graduate
	Keramatallah Ahmadzadeh	Vice General Manager Import, Export and Transactions Banking	Under Graduate
	Ahmad Jamehdor	Vice General Manager Financial Controlling and Planning Human Resources Treasury	Under Graduate

The individuals above do not possess shares in the Branch.

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES:

	31 December 2012			
Name/Commercial title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	47.074	30,00%	47.074	-
Islamic Republic of Iran	31.383	20,00%	31.383	-

	31 December 2011			
Name/Commercial title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	16.097	30,00%	16.097	-
Islamic Republic of Iran	10.731	20,00%	10.731	-

V. BRIEF INFORMATION ON THE BRANCH'S SERVICES AND AREAS OF OPERATION:

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

As of 31 December 2012, the Branch has 57 employees (31 December 2011: 55 employees).

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012
Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	ASSETS	Note	CURRENT PERIOD 31 December 2012			PRIOR PERIOD 31 December 2011		
			TL	FC	Total	TL	FC	Total
I.	CASH AND BALANCES WITH CENTRAL BANK	(I-a)	5.833	48.392	54.225	12.915	176.897	189.812
II.	FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)	(I-b)	-	-	-	-	-	-
2.1	Trading Financial Assets		-	-	-	-	-	-
2.1.1	Public Debt Securities		-	-	-	-	-	-
2.1.2	Share Certificates		-	-	-	-	-	-
2.1.3	Trading Derivative Financial Assets		-	-	-	-	-	-
2.1.4	Other Marketable Securities		-	-	-	-	-	-
2.2	Financial Assets Designated at Fair Value through Profit or Loss		-	-	-	-	-	-
2.2.1	Public Debt Securities		-	-	-	-	-	-
2.2.2	Share Certificates		-	-	-	-	-	-
2.2.3	Loans		-	-	-	-	-	-
2.2.4	Other Marketable Securities		-	-	-	-	-	-
III.	BANKS	(I-c)	65.173	106.909	172.082	137.444	2.443.592	2.581.036
IV.	MONEY MARKETS		67.709	-	67.709	63.518	-	63.518
4.1	Interbank Money Market Placements		67.709	-	67.709	63.518	-	63.518
4.2	Receivables from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Receivables from Reverse Repurchase Agreements		-	-	-	-	-	-
V.	AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)	(I-d)	45.035	28.696	73.731	84.855	24.973	109.828
5.1	Share Certificates		-	-	-	-	-	-
5.2	Public Debt Securities		44.036	-	44.036	80.551	-	80.551
5.3	Other Marketable Securities		999	28.696	29.695	4.304	24.973	29.277
VI.	LOANS AND RECEIVABLES	(I-e)	19.610	10.012	29.622	71.993	513.536	585.529
6.1	Loans and Receivables		13.961	10.012	23.973	66.309	513.536	579.845
6.1.1	Bank's Risk Group		2.383	941	3.324	21.288	182.665	203.953
6.1.2	Public Debt Securities		-	-	-	-	-	-
6.1.3	Other		11.578	9.071	20.649	45.021	330.871	375.892
6.2	Non-Performing Loans		7.644	-	7.644	7.653	-	7.653
6.3	Specific Provisions (-)		(1.995)	-	(1.995)	(1.969)	-	(1.969)
VII.	FACTORING RECEIVABLES		-	-	-	-	-	-
VIII.	HELD-TO-MATURITY SECURITIES (Net)	(I-g)	-	-	-	-	-	-
8.1	Public Debt Securities		-	-	-	-	-	-
8.2	Other Marketable Securities		-	-	-	-	-	-
IX.	INVESTMENTS IN ASSOCIATES (Net)	(I-h)	-	-	-	-	-	-
9.1	Consolidated Based on Equity Method		-	-	-	-	-	-
9.2	Unconsolidated		-	-	-	-	-	-
9.2.1	Financial Investments in Associates		-	-	-	-	-	-
9.2.2	Non-Financial Investments in Associates		-	-	-	-	-	-
X.	SUBSIDIARIES (Net)	(I-i)	-	-	-	-	-	-
10.1	Unconsolidated Financial Subsidiaries		-	-	-	-	-	-
10.2	Unconsolidated Non-financial Subsidiaries		-	-	-	-	-	-
XI.	ENTITIES UNDER COMMON CONTROL (JOINT VENT.) (Net)	(I-j)	-	-	-	-	-	-
11.1	Consolidated Based on Equity Method		-	-	-	-	-	-
11.2	Unconsolidated		-	-	-	-	-	-
11.2.1	Financial Joint Ventures		-	-	-	-	-	-
11.2.2	Non-Financial Joint Ventures		-	-	-	-	-	-
XII.	FINANCIAL LEASE RECEIVABLES (Net)	(I-k)	-	-	-	-	-	-
12.1	Financial Lease Receivables		-	-	-	-	-	-
12.2	Operating Lease Receivables		-	-	-	-	-	-
12.3	Other		-	-	-	-	-	-
12.4	Unearned Income (-)		-	-	-	-	-	-
XIII.	HEDGING DERIVATIVE FINANCIAL ASSETS	(I-l)	-	-	-	-	-	-
13.1	Fair Value Hedge		-	-	-	-	-	-
13.2	Cash Flow Hedge		-	-	-	-	-	-
13.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XIV.	TANGIBLE ASSETS (Net)	(I-m)	8.595	-	8.595	8.695	-	8.695
XV.	INTANGIBLE ASSETS (Net)	(I-n)	555	-	555	86	-	86
15.1	Goodwill		-	-	-	-	-	-
15.2	Other		555	-	555	86	-	86
XVI.	INVESTMENT PROPERTY (Net)	(I-o)	-	-	-	-	-	-
XVII.	TAX ASSET	(I-p)	494	-	494	468	-	468
17.1	Current Tax Asset		-	-	-	-	-	-
17.2	Deferred Tax Asset		494	-	494	468	-	468
XVIII.	ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)	(I-r)	-	-	-	-	-	-
18.1	Held for Sale Purposes		-	-	-	-	-	-
18.2	Related to Discontinued Operations		-	-	-	-	-	-
XIX.	OTHER ASSETS	(I-s)	980	46	1.026	650	27	677
	TOTAL ASSETS		213.984	194.055	408.039	380.624	3.159.025	3.539.649

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012
 Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	LIABILITIES	Note	CURRENT PERIOD 31 December 2012			PRIOR PERIOD 31 December 2011		
			TL	FC	Total	TL	FC	Total
I.	DEPOSITS	(II-a)	39.200	170.521	209.721	230.268	2.861.500	3.091.768
1.1	Deposits of Bank's Risk Group		18.053	132.897	150.950	208.383	2.745.158	2.953.541
1.2	Other		21.147	37.624	58.771	21.885	116.342	138.227
II.	TRADING DERIVATIVE FINANCIAL LIABILITIES	(II-b)	-	-	-	-	-	-
III.	FUNDS BORROWED	(II-c)	-	-	-	-	225.112	225.112
IV.	MONEY MARKETS		-	-	-	-	-	-
4.1	Funds from Interbank Money Market		-	-	-	-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-	-	-	-
V.	MARKETABLE SECURITIES ISSUED (Net)		-	-	-	-	-	-
5.1	Bills		-	-	-	-	-	-
5.2	Asset Backed Securities		-	-	-	-	-	-
5.3	Bonds		-	-	-	-	-	-
VI.	FUNDS		-	-	-	-	-	-
6.1	Borrower Funds		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	SUNDRY CREDITORS		958	6.418	7.376	848	41.082	41.930
VIII.	OTHER LIABILITIES	(II-d)	1.152	679	1.831	5.607	3.327	8.934
IX.	FACTORING PAYABLES		-	-	-	-	-	-
X.	FINANCIAL LEASE PAYABLES (Net)	(II-e)	-	-	-	-	-	-
10.1	Financial Lease Payables		-	-	-	-	-	-
10.2	Operational Lease Payables		-	-	-	-	-	-
10.3	Other		-	-	-	-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-	-	-	-
XI.	HEDGING DERIVATIVE FINANCIAL LIABILITIES	(II-f)	-	-	-	-	-	-
11.1	Fair Value Hedge		-	-	-	-	-	-
11.2	Cash Flow Hedge		-	-	-	-	-	-
11.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XII.	PROVISIONS	(II-g)	1.718	1.807	3.525	2.650	3.294	5.944
12.1	General Loan Loss Provision		403	1.760	2.163	1.661	3.269	4.930
12.2	Restructuring Provisions		-	-	-	-	-	-
12.3	Reserve for Employee Rights		867	-	867	618	-	618
12.4	Insurance Technical Provisions (Net)		-	-	-	-	-	-
12.5	Other Provisions		448	47	495	371	25	396
XIII.	TAX LIABILITY	(II-h)	1.507	-	1.507	8.752	-	8.752
13.1	Current Tax Liability		1.507	-	1.507	8.752	-	8.752
13.2	Deferred Tax Liability		-	-	-	-	-	-
XIV.	PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)	(II-i)	-	-	-	-	-	-
14.1	Held for Sale		-	-	-	-	-	-
14.2	Discontinued Operations		-	-	-	-	-	-
XV.	SUBORDINATED LOANS	(II-j)	-	-	-	-	-	-
XVI.	SHAREHOLDERS' EQUITY	(II-k)	184.079	-	184.079	157.209	-	157.209
16.1	Paid-in capital		156.914	-	156.914	53.655	-	53.655
16.2	Capital Reserves		348	-	348	(930)	-	(930)
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Marketable Securities Valuation Differences	(II-l)	348	-	348	(930)	-	(930)
16.2.4	Tangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.6	Revaluation differences of investment property		-	-	-	-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-	-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-	-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-	-	-	-
16.2.10	Other Capital Reserves		-	-	-	-	-	-
16.3	Profit Reserves		1.225	-	1.225	1.301	-	1.301
16.3.1	Legal Reserves		-	-	-	-	-	-
16.3.2	Status Reserves		-	-	-	-	-	-
16.3.3	Extraordinary Reserves		1.225	-	1.225	1.301	-	1.301
16.3.4	Other Profit Reserves		-	-	-	-	-	-
16.4	Profit or (Loss)		25.592	-	25.592	103.183	-	103.183
16.4.1	Prior Years' Income or (Loss)		-	-	-	44.654	-	44.654
16.4.2	Current Year Income or (Loss)		25.592	-	25.592	58.529	-	58.529
	TOTAL LIABILITIES		228.614	179.425	408.039	405.334	3.134.315	3.539.649

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**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
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II. STATEMENT OF OFF-BALANCE SHEET CONTINGENCIES AND COMMITMENTS

	OFF-BALANCE SHEET COMMITMENTS	Note	CURRENT PERIOD 31 December 2012			PRIOR PERIOD 31 December 2011		
			TL	FC	Total	TL	FC	Total
A.	OFF-BALANCE SHEET COMMITMENTS (I+II+III)		1.778	14.766	16.544	2.201	66.586	68.787
I.	GUARANTEES AND WARRANTIES	(III-a-2, 3)	1.662	14.766	16.428	2.024	66.586	68.610
1.1.	Letters of Guarantee		1.649	13.873	15.522	1.373	19.206	20.579
1.1.1	Guarantees Subject to State Tender Law		-	-	-	-	-	-
1.1.2	Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3	Other Letters of Guarantee		1.649	13.873	15.522	1.373	19.206	20.579
1.2.	Bank Acceptances		-	-	-	-	-	-
1.2.1	Import Letter of Acceptance		-	-	-	-	-	-
1.2.2	Other Bank Acceptances		-	-	-	-	-	-
1.3.	Letters of Credit		-	189	189	288	9.442	9.730
1.3.1	Documentary Letters of Credit		-	189	189	288	9.442	9.730
1.3.2	Other Letters of Credit		-	-	-	-	-	-
1.4.	Refinancing Given as Guarantee		-	-	-	-	-	-
1.5.	Endorsements		-	-	-	-	-	-
1.5.1	Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2	Other Endorsements		-	-	-	-	-	-
1.6.	Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7.	Factoring Guarantees		-	-	-	-	-	-
1.8.	Other Guarantees		-	704	704	350	37.938	38.288
1.9.	Other Collaterals		13	-	13	13	-	13
II.	COMMITMENTS	(III-a-1)	116	-	116	177	-	177
2.1.	Irrevocable Commitments		116	-	116	177	-	177
2.1.1	Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2	Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3	Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4	Loan Granting Commitments		-	-	-	-	-	-
2.1.5	Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6	Commitments for Reserve Deposit Requirements		-	-	-	-	-	-
2.1.7	Commitments for Cheques		116	-	116	177	-	177
2.1.8	Tax and Fund Liabilities from Export Commitments		-	-	-	-	-	-
2.1.9	Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10	Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11	Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12	Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13	Other Irrevocable Commitments		-	-	-	-	-	-
2.2.	Revocable Commitments		-	-	-	-	-	-
2.2.1	Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2	Other Revocable Commitments		-	-	-	-	-	-
III.	DERIVATIVE FINANCIAL INSTRUMENTS	(III-b)	-	-	-	-	-	-
3.1.	Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2.	Trading Transactions		-	-	-	-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5	Securities Options-Buy		-	-	-	-	-	-
3.2.3.6	Securities Options-Sell		-	-	-	-	-	-
3.2.4.	Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5.	Interest Rate Futures		-	-	-	-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6	Other		-	-	-	-	-	-
B.	CUSTODY AND PLEDGES RECEIVED (IV+V+VI)		22.186	40.272	62.458	-	4.071	4.071
IV.	ITEMS HELD IN CUSTODY		-	22	22	-	3.986	3.986
4.1	Customer Fund and Portfolio Balances		-	-	-	-	-	-
4.2	Investment Securities Held in Custody		-	-	-	-	-	-
4.3	Checks Received for Collection		-	22	22	-	3.986	3.986
4.4	Commercial Notes Received for Collection		-	-	-	-	-	-
4.5	Other Assets Received for Collection		-	-	-	-	-	-
4.6	Assets Received for Public Offering		-	-	-	-	-	-
4.7	Other Items Under Custody		-	-	-	-	-	-
4.8	Custodians		-	-	-	-	-	-
V.	PLEDGES RECEIVED		19.146	40.250	59.396	-	85	85
5.1	Marketable Securities		-	-	-	-	-	-
5.2	Guarantee Notes		13.130	38.280	51.410	-	85	85
5.3	Commodity		-	-	-	-	-	-
5.4	Warranty		-	-	-	-	-	-
5.5	Immovable		-	-	-	-	-	-
5.6	Other Pledged Items		-	-	-	-	-	-
5.7	Pledged Items-Depository		6.016	1.970	7.986	-	-	-
VI.	ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES		3.040	-	3.040	-	-	-
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		23.964	55.038	79.002	2.201	70.657	72.858

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III. STATEMENT OF INCOME

	INCOME AND EXPENSE ITEMS	Note	CURRENT PERIOD (01/01/2012-31/12/2012)	PRIOR PERIOD (01/01/2011-31/12/2011)
I.	INTEREST INCOME	(IV-a)	76.222	168.275
1.1	Interest on Loans	(IV-a-1)	19.759	68.007
1.2	Interest Received from Reserve Requirements		-	-
1.3	Interest Received from Banks	(IV-a-2)	40.871	88.955
1.4	Interest Received from Money Market Transactions		7.302	514
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	7.925	10.794
1.5.1	Trading Financial Assets		-	-
1.5.2	Financial Assets at Fair Value Through Profit or Loss		-	-
1.5.3	Available-for-sale Financial Assets		7.925	10.794
1.5.4	Held-to-Maturity Investments		-	-
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		365	5
II.	INTEREST EXPENSE	(IV-b)	(42.907)	(109.398)
2.1	Interest on Deposits	(IV-b-4)	(39.238)	(102.255)
2.2	Interest on Funds Borrowed	(IV-b-1)	(3.669)	(7.143)
2.3	Interest Expense on Money Market Transactions		-	-
2.4	Interest on Securities Issued	(IV-b-3)	-	-
2.5	Other Interest Expenses		-	-
III.	NET INTEREST INCOME (I+II)		33.315	58.877
IV.	NET FEES AND COMMISSIONS INCOME		9.205	26.126
4.1	Fees and Commissions Received		9.435	26.246
4.1.1	Non-cash Loans		7.238	22.249
4.1.2	Other		2.197	3.997
4.2	Fees and Commissions Paid		(230)	(120)
4.2.1	Non-cash Loans		-	-
4.2.2	Other		(230)	(120)
V.	DIVIDEND INCOME	(IV-c)	-	-
VI.	TRADING INCOME/(LOSS) (Net)	(IV-d)	758	4.675
6.1	Trading Gains / (Losses) on Securities		-	-
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		758	4.675
VII.	OTHER OPERATING INCOME	(IV-e)	3.231	764
VIII.	TOTAL OPERATING INCOME (III+IV+V+VI+VII)		46.509	90.442
IX.	PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)	(IV-f)	(50)	(5.414)
X.	OTHER OPERATING EXPENSES (-)	(IV-g)	(14.955)	(11.089)
XI.	NET OPERATING INCOME/(LOSS) (VIII+IX+X)		31.504	73.939
XII.	EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER		-	-
XIII.	GAIN / (LOSS) ON EQUITY METHOD		-	-
XIV.	GAIN / (LOSS) ON NET MONETARY POSITION		-	-
XV.	PROFIT/(LOSS) FROM CONTINUED OPERATIONS BEFORE TAXES (XI+...+XIV)	(IV-h)	31.504	73.939
XVI.	PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)	(IV-i)	(5.912)	(15.410)
16.1	Current Tax Provision		(6.025)	(15.219)
16.2	Deferred Tax Provision		113	(191)
XVII.	NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)		25.592	58.529
XVIII.	INCOME FROM DISCONTINUED OPERATIONS		-	-
18.1	Income on assets held for sale		-	-
18.2	Income on sale of associates, subsidiaries and entities under common control (Joint vent.)		-	-
18.3	Income on other discontinued operations		-	-
XIX.	LOSS FROM DISCONTINUED OPERATIONS (-)		-	-
19.1	Loss from assets held for sale		-	-
19.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
19.3	Loss from other discontinued operations		-	-
XX.	PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)		-	-
XXI.	PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)		-	-
21.1	Current Tax Provision		-	-
21.2	Deferred Tax Provision		-	-
XXII.	NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)		-	-
XXIII.	NET PROFIT/LOSSES (XVII+XXII)	(IV-j)	25.592	58.529
	Earnings/(Loss) per share		0,1631	0,3730

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IV. STATEMENT OF PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY

PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY		CURRENT PERIOD 31 December 2012	PRIOR PERIOD 31 December 2011
I.	ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS	9.994	(1.863)
II.	TANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
III.	INTANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
IV.	CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS	-	-
V.	PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)	-	-
VI.	THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES	-	-
VII.	EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS	-	-
VIII.	OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS	-	-
IX.	DEFERRED TAX RELATED TO VALUATION DIFFERENCES	(319)	362
X.	NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)	9.675	(1.501)
XI.	CURRENT YEAR PROFIT/LOSS	(8.397)	54
1.1	Net change in fair value of marketable securities (transfer to profit-loss)	(8.397)	54
1.2	Reclassification of cash flow hedge transactions and presentation of the related under income statement		
1.3	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement		
1.4	Other		
XII.	TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)	1.278	(1.447)

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	PRIOR PERIOD 01/01/2011 – 31/12/2011	Note	Paid-in Capital	Adjustment to Share Capital	Share Premium	Share Cancellation Profits	Legal Reserve	Status Reserves	Extraordina ry Reserves	Other Reserve s	Current Period Net Income/(Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Discontinued Transacted Funds	Held for Resale/ Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		53.655	-	-	-	-	-	1.301	-	26.378	18.276	517	-	-	-	-	100.127
	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
II.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Marketable Securities Valuation Differences	(V-d)	-	-	-	-	-	-	-	-	-	-	(1.447)	-	-	-	-	-
IV.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(1.447)
4.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	Capital Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	58.529	-	-	-	-	-	-	-
XVIII.	Profit Distribution	(V-a)	-	-	-	-	-	-	-	-	(26.378)	26.378	-	-	-	-	-	58.529
18.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.2	Transfers to Reserves	(V-b)	-	-	-	-	-	-	-	-	(26.378)	26.378	-	-	-	-	-	-
18.3	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		53.655	-	-	-	-	-	1.301	-	58.529	44.654	(930)	-	-	-	-	157.209

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY (Continued)

	CURRENT PERIOD 01/01/2012 - 31/12/2012	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation	Share Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/(Loss)	Markets Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		53.655	-	-	-	-	-	-	1.301	-	58.529	44.654	(930)	-	-	-	-	157.209
II.	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Marketable Securities Valuation Differences	(V-d)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	1.278	-	-	-	-	1.278
4.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity	(V-c)	-	-	-	-	-	-	-	-	-	-	(103.183)	-	-	-	-	-	-
12.1	Capital Increase		103.259	-	-	-	-	-	-	(76)	-	-	-	-	-	-	-	-	-
12.2	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Internal Resources		103.259	-	-	-	-	-	-	(76)	-	-	(103.183)	-	-	-	-	-	-
XIV.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	-	25.592	-	-	-	-	-	-	-
18.1	Profit Distribution	(V-a)	-	-	-	-	-	-	-	-	-	(58.529)	58.529	-	-	-	-	-	25.592
18.2	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Transfers to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Other		-	-	-	-	-	-	-	-	-	(58.529)	58.529	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		156.914	-	-	-	-	-	-	1.225	-	25.592	-	348	-	-	-	-	184.079

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
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 Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VI. STATEMENT OF CASH FLOWS

	STATEMENT OF CASH FLOWS	Note	CURRENT PERIOD (01/01/2011 – 31/12/2012)	PRIOR PERIOD (01/01/2011 – 31/12/2011)
A.	CASH FLOWS FROM BANKING OPERATIONS			
1.1	Operating Profit before changes in operating assets and liabilities		38.901	38.052
1.1.1	Interest received		145.875	105.220
1.1.2	Interest paid		(106.368)	(55.764)
1.1.3	Dividend received		-	-
1.1.4	Fees and commissions received		9.285	26.378
1.1.5	Other income		3.282	803
1.1.6	Collections from previously written-off loans and other receivables		-	52
1.1.7	Payments to personnel and service suppliers		(6.494)	(6.179)
1.1.8	Taxes paid		(13.612)	(14.353)
1.1.9	Other		6.933	(18.105)
1.2	Changes in operating assets and liabilities		(2.549.131)	2.102.737
1.2.1	Net (increase) / decrease in trading financial assets		-	-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-	-
1.2.3	Net (increase) / decrease in banks		(10)	1
1.2.4	Net (increase) / decrease in loans		536.797	515.893
1.2.5	Net (increase) / decrease in other assets		208	(71)
1.2.6	Net increase in bank deposits		(3.122.477)	1.058.396
1.2.7	Net increase / (decrease) in other deposits		299.382	(105.144)
1.2.8	Net (decrease) in funds borrowed		(220.603)	189.446
1.2.9	Net increase / (decrease) in payables		-	-
1.2.10	Net increase in other liabilities		(42.428)	444.216
I.	Net cash provided from banking operations		(2.510.230)	2.140.789
B.	CASH FLOWS FROM INVESTING ACTIVITIES			
II.	Net cash provided from investing activities		42.199	44.217
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.3	Fixed assets purchases		4.743	(164)
2.4	Fixed assets sales		(1)	1
2.5	Cash paid for purchase of investments available-for-sale		(12.291)	(76.447)
2.6	Cash obtained from sale of investments available-for-sale		49.748	120.880
2.7	Cash paid for purchase of investment securities		-	-
2.8	Cash obtained from sale of investment securities		-	-
2.9	Other		-	(53)
C.	CASH FLOWS FROM FINANCING ACTIVITIES			
III.	Net cash provided from financing activities		-	-
3.1	Cash obtained from funds borrowed and securities issued		-	-
3.2	Cash used for repayment of funds borrowed and securities issued		-	-
3.3	Capital increase		-	-
3.4	Dividends paid		-	-
3.5	Payments for finance leases		-	-
3.6	Other		-	-
IV.	Effect of change in foreign exchange rate on cash and cash equivalents		(7.133)	31.250
V.	Net increase in cash and cash equivalents (I + II + III + IV)		(2.475.164)	2.216.256
VI.	Cash and cash equivalents at beginning of the period	(VI-a)	2.766.832	550.576
VII.	Cash and cash equivalents at end of the period (V + VI)	(VI-a)	291.668	2.766.832

The accompanying explanations and notes form an integral part of these financial statements

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
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VII. PROFIT DISTRIBUTION TABLE

		CURRENT PERIOD (01/01/2012 – 31/12/2012)	PRIOR PERIOD (01/01/2011 – 31/12/2011)
I.	DISTRIBUTION OF CURRENT YEAR INCOME		
1.1	Current Year Income	31.504	73.939
1.2	Taxes And Duties Payable (-)	(5.912)	(15.410)
1.2.1	Corporate Tax (Income tax)	(6.025)	(15.219)
1.2.2	Income withholding tax	-	-
1.2.3	Other taxes and duties	113	(191)
A.	NET INCOME FOR THE YEAR (1.1-1.2)	25.592	58.529
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-) ^(*)	(113)	-
B.	NET INCOME AVAILABLE FOR DISTRIBUTION [(A)+(1.3+1.4+1.5)]	25.479	58.529
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	-
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
II.	DISTRIBUTION OF RESERVES		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	EARNINGS PER SHARE		
3.1	To Owners Of Ordinary Shares	0,1631	1,0908
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	DIVIDEND PER SHARE		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

Note: As of date of these financial statements, profit distribution for 2012 has not been defined yet.

(*) Deferred income tax is presented under other tax and legal liabilities. Deferred tax income can not be added into profit distribution, thus it is classified under extraordinary reserves.

The accompanying explanations and notes form an integral part of these financial statements

VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As at 19 March 2012, the financial statements issued by the Headquarters of the Branch have been independently audited. The Headquarters of the Branch has not issued financial statements as at 31 December 2012 and 31 December 2011.

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE BALANCE SHEET (THOUSANDS OF USD)		
	CURRENT PERIOD (19 March 2012)	PRIOR PERIOD (20 March 2011) (*)
Cash and cash equivalents	989.948	735.782
Central bank	5.079.439	5.668.391
Other assets	57.529.247	48.559.890
Total Assets	63.598.634	54.964.063
Deposits	45.652.538	39.291.289
Other liabilities	14.093.027	13.367.402
Shareholders' equity	3.853.069	2.305.372
Total Liabilities	63.598.634	54.964.063

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE INCOME STATEMENT (THOUSANDS OF USD)		
	CURRENT PERIOD (19 March 2012)	PRIOR PERIOD (20 March 2011) (*)
Interest and Investment Income	6.085.065	6.063.287
Interest Expense on Deposits	(2.590.877)	(2.240.929)
Other Expenses	(2.025.486)	(2.481.915)
Other Income	2.052.015	1.355.193
Total Net Income	3.520.717	2.695.636
Personnel and operating expenses	(2.790.259)	(1.988.358)
Profit Before Tax	730.458	707.278
Taxes Payables	(71.349)	(128.867)
Net Profit	659.109	578.411

(*) As restated.

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION:

The preparation of the financial statements and related notes and explanations in accordance with the Turkish Accounting Standards and Regulation on the Accounting Applications for Banks and Safeguarding of Documents:

The Branch maintains its books of accounts in Turkish lira in accordance with the Banking Act No. 5411 ("Banking Act"), which is effective from 1 November 2005, the Turkish Commercial Code and Turkish tax legislation.

The financial statements are prepared in accordance with the "Regulation on the Principles and Procedures Regarding Banks' Accounting Application and Keeping Documents" published in the Official Gazette No.26333 dated 1 November 2006, which refers to "Turkish Accounting Standards" ("TAS") and "Turkish Financial Reporting Standards" ("TFRS") issued by the "Turkish Accounting Standards Board" ("TASB") and additional explanations and notes to accounting and financial reporting principles (all "Turkish Accounting Standards" or "TAS") published by the Banking Regulation and Supervision Agency ("BRSA"). The format and content of the financial statements to be disclosed to the public and related notes to these financial statements have been prepared in accordance with the "Communiqué Regarding Financial Statements to be disclosed to the Public and Related Disclosures" published in the Official Gazette No.26651 dated 22 February 2007.

Statutory Decree No: 660, which has been become effective and published in the Official Gazette on 2 November 2011, and the Additional Clause 1 of the Law No: 2499 were nullified and accordingly, Public Oversight, Accounting and Audit Standards Institution (the "Institution") was established. As per Additional Article 1 of the Statutory Decree, applicable laws and standards will apply until new standards and regulations be issued by the Institution and will become effective. In this respect, the respective matter has no effect over the 'Basis of The Preparation of Financial Statements' Note disclosed in the accompanying financial statements as of the reporting date.

The unconsolidated financial statements have been prepared in TL, under the historical cost convention and in accordance with inflation accounting except for the financial assets and liabilities carried at fair value.

The accounting policies and valuation methods adopted in the presentation of these financial statements are in accordance with TAS. These accounting policies and valuation methods are explained in Notes II. to XXVIII.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS:

The Branch's operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey ("CBRT") in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2012, rates used for conversion of foreign currency balances into Turkish lira are TL1,7776 for USD, TL 2,3452 for Euro and TL 0,020605 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES:

As of 31 December 2012 and 31 December 2011, the Branch has no investments in associates and subsidiaries.

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS:

Derivative instruments are measured at fair value on initial recognition and are subsequently re-measured at their fair values. The accounting method for the income or loss arising from derivative instruments depends on the derivative being used for hedging purposes or not and depends on the type of the item being hedged. As of 31 December 2012, the Branch has no derivative instruments that qualify for hedge accounting.

The Branch has no forward transactions, options or other derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.

The Branch, ceases accruing interest income on non-performing loans according to the related regulation.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES:

All fees and commission income/expenses are recognised on an accrual basis, except for certain commission income and fees for various banking services which are accounted for as income at the time of collection. Borrowing fees and commission expenses paid to other financial institutions are recognised as operational costs and recorded using the "effective interest method". Contract based fees or fees received in return for services such as the purchase and sale of assets on behalf of a third party or legal person are recognised as income at the time of collection.

VII. EXPLANATIONS ON FINANCIAL ASSETS:

The Branch classifies and accounts its financial assets as "Fair value through profit or loss", "Available-for-sale", "Loans and receivables" or "Held-to-maturity". Sales and purchases of the financial assets mentioned above are recognised at the "settlement dates". The appropriate classification of financial assets is determined at inception according to Branch management's purpose of purchase.

a. Financial assets at fair value through profit or loss:

This category has two sub categories: "Trading financial assets" and "Financial assets designated at fair value through profit or loss at initial recognition."

Trading financial assets are financial assets which were either acquired for generating a profit from short-term fluctuations in prices or dealers' margin, or are financial assets included in a portfolio in which a pattern of short-term profit making exists.

Trading financial assets are initially recognised at fair value and are subsequently re-measured at their fair value. However, if fair values cannot be obtained from the fair market transactions, it is accepted that the fair value cannot be measured reliably and financial assets are measured using the official prices announced by the CBRT. All gains and losses arising from these evaluations are recognised in the income statement. Interest earned while holding financial assets is reported as interest income and dividends received are included separately in dividend income.

Derivative financial instruments are classified as trading financial assets unless they are not designated as hedge instruments.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS (Continued)

b. Loans and receivables:

Financial assets that are originated by the Branch by providing money, services or goods to borrowers are categorised as loans and receivables. Loans and receivables originated by the Branch are carried initially at cost and subsequently recognised at the amortised cost value calculated using the "effective yield method".

If the collectibility of any receivable is identified as limited or doubtful by the management through assessments and estimates, the Branch provides general and specific provisions for these loans and receivables in accordance with the "Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" published in the Official Gazette dated 1 November 2006, No.26333 and the "Communiqué regarding the changes in the Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" published in the Official Gazette No. 27513 dated 6 March 2010 and No. 27119 dated 23 January 2009. The Branch makes its general provision calculations appropriate in accordance with the regulations published on 18 June 2011 and 28 May 2011 in Official Gazette numbered 27968 and 27947 respectively.

Provision expenses are deducted from the net income of the period. Uncollectible receivables are written-off after all the legal procedures are finalised. If there is a subsequent collection from a receivable that was already provisioned in the previous years, the recovery amount is deducted from specific provisions and included in the income statement.

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under "loans and receivables" with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the "effective yield method"; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which cannot be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of 31 December 2012 and 31 December 2011.

d. Available-for-sale financial assets:

Financial assets available-for-sale consists of financial assets other than "Loan and receivables", "Held-to-maturity" and "Financial assets at fair value through profit or loss". Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders' equity as "Marketable securities value increase fund", unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders' equity are transferred to the income statement.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS:

Where the estimated recoverable amount of the financial asset, being the present value of the expected future cash flows discounted based on the "effective interest method", or the fair value if one exists is lower than its carrying value, then it is concluded that the asset under consideration is impaired. A provision is made for the diminution in value of the impaired financial asset and it is charged against the income for the year.

The principles regarding the accounting of provisions of loans and receivables are explained in detail in Note VII.b. of this section.

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS:

The Branch does not have any sales and repurchase agreements and securities lending transactions as of 31 December 2012 and 31 December 2011.

Securities subject to repurchase agreements ("repo") are classified as "Fair value difference through profit or loss", "Available-for-sale" and "Held-to-maturity" according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under "Funds Provided under Repurchase Agreements" in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the "effective interest method".

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

XI. EXPLANATIONS ON ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS AND EXPLANATIONS ON LIABILITIES RELATED WITH THESE ASSETS:

The Branch has no assets held for sale and discontinued operations and any related liabilities as at the balance sheet date (31 December 2011: None).

Assets held-for-resale consist of tangible assets that were acquired due to non-performing receivables, and are accounted in the financial statements in accordance with the "Communiqué Regarding the Principles and Procedures for the Disposals of Immovables and Commodities Acquired due to Receivables and for Trading of Precious Metal" published in the Official Gazette dated 1 November 2006, No.26333.

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill as at 31 December 2012 and 31 December 2011.

Intangible assets consist of softwares. The intangible assets are amortized in their useful lives, in 3 years, on a straight-line basis.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS:

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Furniture, fixture and vehicles	5 years

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2012 and 31 December 2011.

XIV. EXPLANATIONS ON LEASING TRANSACTIONS

The Branch has no leasing transactions as of 31 December 2012 and 31 December 2011.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with "Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets" ("TAS 37").

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a "contingent" liability exists and it is disclosed in the related notes to the financial statements.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the government bonds at the balance sheet date.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution ("SSI") on behalf of the employees. The Branch has no other payment obligations to employees or "SSI". These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as "Short-Term Benefits to Employees" in accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") are accrued in the periods that they were entitled to and they cannot be discounted.

XVII. EXPLANATIONS ON TAXATION:

a. Current tax:

"Corporate Tax Law" ("New Tax Law") No.5520 was taken into effect after being published in the Official Gazette dated 21 June 2006 No.26205. Many clauses of the "New Tax Law" are effective from 1 January 2006. According to this Law, the corporate tax rate is 20% (2011: 20%). Corporate tax is calculated on the total income of the Bank after adjusting for certain disallowable expenses, exempt income (eg. gain on subsidiaries, investment incentives) and investments and other allowances (eg. research and development expenses). No further tax is payable unless the profit is distributed.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION (Continued)

a. Current Tax (Continued)

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after 23 July 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

Corporations are required to pay advance corporate tax quarterly at a rate of 20% on their corporate income. Advance tax is declared by the 14th and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if temporary prepaid tax remains, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and immovable properties held for at least two years is tax exempt, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the twenty fifth day of the following fourth month after the closing of the accounting year to which they relate.

Tax returns are open for five years from the beginning of the year following the date of filing during which period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings. Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

b. Deferred tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12"). In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

XVIII. EXPLANATIONS ON BORROWINGS:

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

XIX. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2012 and 31 December 2011.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XX. EXPLANATIONS ON ACCEPTANCES AND AVALIED DRAFTS:

Avalized drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments. The Branch has acceptances and avalized drafts amounting to TL 3.040 as of 31 December 2012 (31 December 2011: None).

XXI. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of 31 December 2012 and 31 December 2011.

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE:

Earnings per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned.

	31 December 2012	31 December 2011
Distributable Net Profit to Ordinary Shares	25.592	58.529
Weighted Average Number of Issued Ordinary Shares (Thousand)	156.914	53.655
Earnings Per Share (Disclosed in full TL for nominal shares)	0,16309	1,0908

In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. For the purpose of earnings per share computations, the weighted average number of shares outstanding during the year has been adjusted in respect of bonus shares issued without a corresponding change in resources by giving them a retroactive effect for the year in which they were issued and for each earlier period.

XXIV. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS::

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

XXVI. EXPLANATIONS ON SEGMENT REPORTING:

Informations related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Informations about the operating segments as of 31 December 2012 are presented on the table below.

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2012					
Interest Income	20	20.104	56.098	-	76.222
Net Fees and Commissions Income	-	9.205	-	-	9.205
Other Operating Income and Trading Income/(Loss) (Net)	-	3.989	-	-	3.989
Operating Revenue	20	33.298	56.098	-	89.416
Interest Expense	(420)	(5.406)	(37.081)	-	(42.907)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.035)	(10.607)	(3.363)	-	(15.005)
Operating Expense	(1.455)	(16.013)	(40.444)	-	(57.912)
Operating Profit	(1.435)	17.285	15.654	-	31.504
Profit Before Tax	-	-	-	-	31.504
Corporate Tax	-	-	-	-	(5.912)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	-	25.592
Segment Assets (*)	386	29.236	367.747	10.670	408.039
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	386	29.236	367.747	10.670	408.039
Segment Liabilities (*)	5.504	57.827	153.766	6.863	223.960
Shareholders' Equity	-	-	-	184.079	184.079
Total Liabilities	5.504	57.827	153.766	190.942	408.039

(*) "Segment Assets" in "Other" column include tangible assets amounting to TL 8.595, intangible assets amounting to TL 555, tax assets amounting to TL 494 and other assets amounting to TL 1.026; "Segment Liabilities" in the "Other" column include other liabilities amounting to TL 1.831, provisions amounting to TL 3.525 and tax liability amounting to TL 1.507.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2011					
Interest Income	6	68.006	100.263	-	168.275
Net Fees and Commissions Income	-	26.126	-	-	26.126
Other Operating Income and Trading Income/(Loss) (Net)	-	5.439	-	-	5.439
Operating Revenue	6	99.571	100.263	-	199.840
Interest Expense	(420)	(9.862)	(99.116)	-	(109.398)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(900)	(12.603)	(3.000)	-	(16.503)
Operating Expense	(1.320)	(22.465)	(102.116)	-	(125.901)
Operating Profit	(1.314)	77.106	(1.853)	-	73.939
Profit Before Tax	-	-	-	-	73.939
Corporate Tax	-	-	-	-	(15.410)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	-	58.529
Segment Assets (*)	5.684	579.845	2.944.194	9.926	3.539.649
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	5.684	579.845	2.944.194	9.926	3.539.649
Segment Liabilities(*)	9.517	328.762	3.020.531	23.630	3.382.440
Shareholders' Equity	-	-	-	157.209	157.209
Total Liabilities	9.517	328.762	3.020.531	180.839	3.539.649

(*) "Segment Assets" in "Other" column include tangible assets amounting to TL 8.695, intangible assets amounting to TL 86, tax assets amounting to TL 468 and other assets amounting to TL 677; "Segment Liabilities" in the "Other" column include other liabilities amounting to TL 8.934, provisions amounting to TL 5.944 and tax liability amounting to TL 8.752.

XXVII. RECLASSIFICATIONS

There are no reclassifications to the 31 December 2011 financial statements in order to be in conformity with the financial statements as of 31 December 2012.

XXVIII. OTHER INFORMATION

None.

SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO:

The capital adequacy ratio of the Branch is 55,22%.

Capital adequacy ratio is calculated within the scope of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (the "Regulation")", "Communiqué on Credit Risk Mitigation Techniques" and "Communiqué on Calculation of Risk Weighted Amounts for Securitizations" published in the Official Gazette No: 28337 dated 28 June 2012 and the "Communiqué on Equities of Banks" published in the Official Gazette No: 26333 dated 1 November 2006.

In the calculation of capital adequacy ratio, the data prepared from accounting records in compliance with the current legislation are used. Such accounting data is included in the calculation of credit and market risks subsequent to their designation as "trading book" and "banking book" according to the Regulation.

The items classified as trading book and the items deducted from the equity are not included in the calculation of credit risk. In the calculation of risk weighted assets, the assets subject to amortisation or impairment, are taken into account on a net basis after being reduced by the related amortisations and provisions.

In the calculation of the value at credit risk for the non-cash loans and commitments and the receivables from counterparties in such transactions are weighted after netting with specific provisions that are classified under liabilities and calculated based on the "Regulation on Identification of and Provision against Non-Performing Loans and Other Receivables". The net amounts are then multiplied by the rates stated in the Article 5 of the Regulation, reduced as per the "Regulation on Credit Risk Mitigation Techniques" and then included in the relevant exposure category defined in the article 6 of the Regulation and weighted as per Appendix-1 of the Regulation.

In the calculation of the value at credit risk for the derivative financial instruments and the credit derivatives classified in the banking book, the receivables from counterparties are multiplied by the rates stated in the Appendix-2 of the Regulation, reduced as per the "Regulation on Credit Risk Mitigation Techniques" and then included in the relevant exposure category defined in the article 6 of the Regulation and weighted as per Appendix-1 of the Regulation.

As per the article 5 of the Regulation, the "counterparty credit risk" is calculated for repurchase transactions, securities and commodities borrowing agreements.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information related to capital adequacy ratio:

31 December 2012	Risk Weights								
	0%	10%	20%	50%	75%	100%	150%	200%	1250%
Value at Credit Risk									
Exposure Categories									
Conditional and unconditional receivables from central governments or central banks	119.347	-	-	-	-	29.145	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	53.075	-	3.672	-	-	132.019	-	-	-
Conditional and unconditional receivables from corporates	3.438	-	-	-	-	41.004	-	-	-
Conditional and unconditional retail receivables	58	-	-	-	-	680	-	-	-
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-	-	-	-	-
Past due receivables	-	-	-	-	-	5.791	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-	-	320	-	-
Securities collateralized by mortgages	-	-	-	-	-	-	-	-	-
Securitization positions	-	-	-	-	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-
Other receivables	22.352	-	-	-	-	10.076	-	-	-

Summary of the capital adequacy standard ratio:

	31 December 2012
Capital Requirement for Credit Risk (Amount Subject to Credit Risk *0.08) (CRCR)	17.594
Capital Requirement for Market Risk (MRCR)	1.374
Capital Requirement for Operational Risk (ORCR)	7.904
Shareholders' Equity	185.496
Shareholders' Equity / ((TRWA + ASMR + ASOR) *12.5) *100	55,22

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items:

	<i>31 December 2012</i>
CORE CAPITAL	
Paid-in capital	156.914
Nominal capital	156.914
Capital Commitments (-)	-
Inflation adjustment to share capital	-
Share premium	-
Share cancellation profits	-
Legal reserves	1.225
Inflation Adjustments to Legal Reserves	-
Profit	25.592
Current year profit (net)	25.592
Prior year profit	-
Provision for Possible Losses (up to 25% of Core Capital)	-
Income on Sale of Equity Shares and Real Estates	-
Primary subordinated loans up to 15% of the core capital	-
Loss (in excess of Reserves) (-)	-
Current Period's Losses -	-
Prior Periods' Losses	-
Leasehold Improvements on Operational Leases (-)	-
Intangible Assets (-)	(555)
Deferred Tax Asset in excess of 10% of Core Capital (-)	-
Excess amount in the Article 56, Clause 3 of the Banking Law (-)	-
Total core capital	183.176
SUPPLEMENTARY CAPITAL	
General provisions	2.163
45% of the revaluation reserve for movable fixed assets	-
45% of the of revaluation reserve for properties	-
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current	-
Primary subordinated loans excluded in the calculation of the core capital	-
Secondary subordinated loans	-
45 % of Securities Value Increase Fund	157
Inflation Adjustments to Other Capital and Profit Reserves and Prior Periods' Profit / Loss	-
Total supplementary capital	2.320
CAPITAL	185.496
DEDUCTIONS FROM CAPITAL	-
Shareholdings of banks and financial institutions (Domestic, Foreign) in which the Bank has investments of ten percent or more	-
Shareholdings of banks and financial institutions (Domestic, Foreign) in which the Bank has investments less than ten percent total of which exceed ten percent of Bank's Core and Supplementary Capital	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Secondary Subordinated Debts and Debt Instruments purchased from such parties qualified as Primary or Secondary Subordinated Debts	-
Loan granted to Customer against the Articles 50 and 51 of the Banking Law	-
The net book value of properties exceeding fifty percent of equity and properties held for sale and properties and commodity to be disposed, acquired in exchange of loans and receivables according to the Article 57 of the Banking Law and have not been disposed yet after 5 years from foreclosure	-
Securitization Positions to be Deducted from Equity	-
Other	-
TOTAL SHAREHOLDER'S EQUITY	185.496

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

"Internal Capital Assessment Process based on the Risk Management Policies and Implementation Procedures" was prepared and approved by Board of Managers as of 27 November 2012. The purpose of the evaluation process of the internal capital requirement, is to define and evaluate whether all the risks are included in the calculation of the legal capital requirements, and to provide the availability of adequate capital in order to cover for these risks and the application of the risk management techniques. Analysis of Internal Capital Adequacy for 2013 is presented to the Board of Managers on 24 December 2012.

Within this framework, 2012 capital structure is reviewed as based on the frame of the activities and risks exposed to, and the internal capital requirement, probable to occur within the direction of 2013 estimations and expectations of the Branch is evaluated. This evaluation for 2013 includes credit risk (general, country), market risk (interest rate risk, foreign currency risk, specific) and operational risk arising of the banking books as well as repricing, concentration and reputation risks.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK:

- a. Credit risk is monitored by reference to credit risk ratings and managed by limiting the aggregate risk to banks with high credibility rate and other financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department.

- b. At 31 December 2012, the Branch has no forward and option contracts or any other similar agreements.
- c. At 31 December 2012, the Branch has been faced with an insignificant amount of credit risk exposure.
- d. The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans which are passed due but not collected. Credit risk is defined broadly for contracts and positions bearing all types of cash and non-cash counterparty risk, and managed accordingly.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely monitored.

- e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.
- f. The Branch is not active in international banking market.
- g. 1. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (31 December 2011: 100%).
2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (31 December 2011: 100%).
3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is 10% (31 December 2011: 27%).
- h. The general loan loss provision amount provided for credit risk is TL 2.163 thousand (31 December 2011: TL 4.930thousand).

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

The Branch has not any internal rating model in order to evaluate during the loan application and assessment after granting loan.

	Current period Risk Amount (*)	Average Risk Amount (**)
Conditional and unconditional receivables from central governments or central banks	148.492	140.072
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	188.766	477.412
Conditional and unconditional receivables from corporates	44.442	24.432
Conditional and unconditional retail receivables	738	956
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	5.791	5.806
Receivables defined in high risk category by BRSA	320	175
Securities collateralized by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Investments similar to collective investment funds	-	-
Other receivables	32.428	31.541

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared starting from the date of publication of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks" (28 June 2012) to the period end.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions:

	Exposure Categories(*)																
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	Toplam
Current Period																	
1. Domestic	148.492	-	-	-	-	18.011	15.709	738	-	5.791	320	-	-	-	-	32.428	221.489
2. European Union(EU)	-	-	-	-	-	3.536	-	-	-	-	-	-	-	-	-	-	3.536
3. OECD Countries(**)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	-	-	-	-	-	167.219	28.733	-	-	-	-	-	-	-	-	-	195.952
7. Associates, Subsidiaries and Joint –Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities***	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	148.492	-	-	-	-	188.766	44.442	738	-	5.791	320	-	-	-	-	32.428	420.977

^(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

^(**) Includes OECD countries other than EU countries, USA and Canada

^(***) Includes asset and liability items that can not be allocated on a consistent basis.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional retail receivables
- 9- Conditional and unconditional receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securities collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties:

	Exposure Categories(*)															
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
TP																
YP																
Toplam																
Agriculture	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	2.210	-	-	-	-	-	-	-	-	2.210
Mining and Quarrying	-	-	-	-	-	-	2.210	-	-	-	-	-	-	-	-	2.210
Production	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	4.003	-	-	-	-	-	-	-	-	-
Services	-	-	-	-	-	-	4.003	-	-	-	-	-	-	-	-	-
Wholesale and Retail Trade	-	-	-	-	-	18.011	-	-	-	5.433	-	-	-	-	-	-
Accommodation and Dining	-	-	-	-	-	-	9.470	-	-	-	-	-	-	-	-	9.436
Transportation and Telecom.	-	-	-	-	-	-	9.452	-	-	-	-	-	-	-	-	27.481
Financial Institutions	-	-	-	-	-	-	18	-	-	-	-	-	-	-	-	9.452
Real Estate and Rental Services	-	-	-	-	-	18.011	-	-	-	-	-	-	-	-	-	18
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	18.011
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	148.492	-	-	-	-	170.755	28.759	738	-	358	320	-	-	-	-	-
Total	148.492	-	-	-	-	188.766	44.442	738	-	5.791	320	-	-	-	-	32.428
																32.428
																201.296
																201.296
																381.850
																420.977

* Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional retail receivables
- 9- Conditional and unconditional receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securities collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities:

	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Categories (*)(**)					
Conditional and unconditional receivables from central governments or central banks	67.700	22.802	1.956	19.278	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	40.231	25.421	24.953	1.817	-
Conditional and unconditional receivables from corporates	211	19.406	4.953	3.017	9.570
Conditional and unconditional retail receivables	-	15	56	98	-
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	320
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	108.142	67.644	31.918	24.210	9.890

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

(**) Credit risk amounts which have no maturities do not comprise in the table.

l. Exposure Categories:

External risk ratings are not used to determine the risk weights of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights:

Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	141.699	-	3.672	-	-	275.286	320	-	-	555
Exposures after Credit Risk Mitigation	198.270	-	3.672	-	-	218.715	320	-	-	555

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

n. Information by major sectors and type of counterparties:

As per the TAS and TFRS;

Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisions" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue upto 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

<i>31 December 2012</i>	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	4	-	-	4
Mining and Quarrying	-	-	-	-
Production	4	-	-	4
Electricity, Gas and Water	-	-	-	-
Construction	7.355	-	-	1.916
Services	285	-	-	75
Wholesale and Retail Trade	285	-	-	75
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	9.024	177	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	-	-	-	-
Total	7.644	9.024	177	1.995

(*)The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

o. Movements in value adjustments and provisions:

	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	1.969	26	-	-	1.995
General Provisions	4.930	-	2.767	-	2.163

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III. EXPLANATIONS ON MARKET RISK:

The Branch defines the market risk as the fluctuations in its portfolio value with the changes in the parameters such as market prices, interest rate, currency rates and prices of common stocks.

The Bank has established market risk operations and has taken the necessary measures in order to hedge market risk within its financial risk management purposes, in accordance with the regulation that is published in the Official Gazette No: 28337 dated 28 June 2012 regulation on "Banks' Internal Control and Risk Management Systems" and the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

Trading activities in behalf of itself, trading securities and commodity lendings and derivative transactions are not used by the Branch.

Effect of TL interest rates fluctuations caused by the available for sales portfolio are assessed via duration method.

The Branch is exposed to the currency risk as the component of market risk. In principle board of managers are responsible for determine rules and limits for foreign currency position direction, amount and components, however this authority have been transferred to the Risk Committee. The Risk Committee is assessed the Turkey and global economic developments and if necessary the rules and the limits related to the foreign currency position are changed by the Risk Committee.

The parts of market risk is closely monitored by the board of managers as per the approved limits.

a. Information related to market risk:

	<i>31 December 2012</i>
(I) Capital Obligation against General Market Risk - Standard Method	-
(II) Capital Obligation against Specific Risk - Standard Method	-
Capital Requirement against Specific Risks of Securitization Positions- Standard Method	-
(III) Capital Obligation against Currency Risk - Standard Method	1.374
(IV) Capital Obligation against Commodity Risk - Standard Method	-
(V) Capital Obligation against Settlement Risk - Standard Method	-
(VI) Total Capital Obligation against Market Risks of Options - Standard	-
(VII) Capital Requirement against Counterparty Credit Risks - Standard Method	-
(VIII) Total Capital Obligation against Market Risks of Banks applying Risk Measurement Models	-
(IX) Total Capital Obligation against Market Risk (I+II+III+IV+V+VI+VII)	1.374
(X) Value-At-Market Risk (12.5 x VIII) or (12.5 x IX)	17.175

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

III. EXPLANATIONS ON MARKET RISK (Continued):

b. Market risk table of calculated market risk during the month ends

	31 December 2012		
	Average	Maximum	Minimum
Interest Rate Risk	2.299	2.910	-
Share Certificates Risk	-	-	-
Currency Risk	2.025	2.485	1.374
Commodity Risk	-	-	-
Settlement Risk	-	-	-
Option Risk	-	-	-
Counterparty Risk	-	-	-
Total Amount Subject to	4.324	5.395	1.374

c. Quantitative information on counterparty risk

	Amount
Interest-Rate Contracts	-
Foreign-Exchange-Rate Contracts	-
Commodity Contracts	-
Equity-Shares Related Contracts	-
Other	-
Gross Positive Fair Values	-
Netting Benefits	-
Net Current Exposure Amount	-
Collaterals Received	-
Net Derivative Position	-

IV. EXPLANATIONS ON OPERATIONAL RISK::

The value at operational risk is calculated according to the basic indicator approach as per the Article 14 of "Regulation regarding Measurement and Assessment of Capital Adequacy Ratios of Banks".

The annual gross income is composed of net interest income and net non-interest income after deducting realised gains/losses from the sale of securities available-for-sale and held-to-maturity, extraordinary income and income derived from insurance claims at year-end.

Basic Indicator Approach	31.12.2009 Amount	31.12.2010 Amount	31.12.2011 Amount	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	28.309	41.391	88.376	52.692	15	7.904
Value at Operational Risk (Total*12.5)						98.798

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

V. EXPLANATIONS ON CURRENCY RISK:

Foreign currency position limit is set in compliance with the legal standard ratio of net foreign currency position. As of 31 December 2012, the Bank carries a net foreign currency long position of TL 17.160 (31 December 2011 – TL 29.212 long position) comprising TL 17.179 balance sheet long position (31 December 2011 - TL 29.232 short position) and TL 19 off balance sheet short position (31 December 2011 - TL 20 long position).

The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method".

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	<u>USD</u>	<u>EUR</u>	<u>100 JPY</u>	<u>AED</u>
31 December 2012	1,7776 TL	2,3452 TL	2,0605 TL	0,48631 TL
28 December 2012	1,7829 TL	2,3657 TL	2,0750 TL	0,48774 TL
27 December 2012	1,7848 TL	2,3566 TL	2,0866 TL	0,48826 TL
26 December 2012	1,7877 TL	2,3586 TL	2,1049 TL	0,48907 TL
25 December 2012	1,7893 TL	2,3651 TL	2,1151 TL	0,48950 TL
24 December 2012	1,7869 TL	2,3605 TL	2,1209 TL	0,48882 TL

The simple arithmetical averages of the Branch's foreign exchange bid rates for the last thirty days are:

USD:	TL 1,7788
Euro:	TL 2,3335
100 Japanese Yen:	TL 2,1250
A.E.D:	TL 0,48658

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

V. EXPLANATIONS ON CURRENCY RISK: (Continued)

Information on the foreign currency exchange rate risk of the Branch

	Euro	USD	Other FC	Total
31 December 2012				
Varlıklar				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	32.706	15.639	47	48.392
Banks	69.313	7.272	30.324	106.909
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	28.696	-	-	28.696
Loans and Receivables	7.086	-	3.697	10.783
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	46	-	-	46
Total Assets	137.847	22.911	34.068	194.826
Liabilities				
Bank Deposits	98.588	8.234	25.736	132.558
Foreign Currency Deposits	23.709	13.030	1.224	37.963
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	5.935	207	276	6.418
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	53	48	625	726
Total Liabilities	128.285	21.519	27.861	177.665
Net On-Balance Sheet Position	9.562	1.392	6.207	17.161
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	14.524	242	-	14.766
31 December 2011				
Total Assets	1.598.308	17.809	1.544.142	3.160.259
Total Liabilities	1.580.795	12.485	1.537.766	3.131.046
Net On-Balance Sheet Position	17.513	5.324	6.376	29.213
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	66.385	201	-	66.586

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position. Therefore, as of 31 December 2012, foreign currency indexed loans amounting to TL771 thousand (December 31, 2011: TL 1.234 thousand) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL 1.760 thousand (31 December 2011: TL 3.269 thousand) has also not been included in the table above.

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VI. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

31 December 2012	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	-	-	-	-	-	54.225	54.225
Banks	39.202	13.583	23.582	-	-	95.715	172.082
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	67.709	-	-	-	-	-	67.709
Available-for-Sale Financial Assets	-	42.026	26.980	4.725	-	-	73.731
Loans and Receivables	9.071	5.285	4.131	5.486	-	5.649	29.622
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	22	-	633	-	-	10.015	10.670
Total Assets	116.004	60.894	55.326	10.211	-	165.604	408.039
Liabilities							
Bank Deposits	28.986	21.025	20.482	-	-	83.273	153.766
Other Deposits	10.762	8.998	2.127	-	-	34.068	55.955
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	7.376	7.376
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities ⁽²⁾	1.048	1.152	150	-	-	188.592	190.942
Total Liabilities	40.796	31.175	22.759	-	-	313.309	408.039
Balance Sheet Long Position	75.208	29.719	32.567	10.211	-	-	147.705
Balance Sheet Short Position	-	-	-	-	-	(147.705)	(147.705)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	75.208	29.719	32.567	10.211	-	(147.705)	-

⁽¹⁾ "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

⁽²⁾ Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

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VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2011	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	-	-	-	-	-	189.812	189.812
Banks	397.757	690.612	1.364.012	-	-	128.655	2.581.036
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	63.518	-	-	-	-	-	63.518
Available-for-Sale Financial Assets	12.908	7.242	36.754	52.924	-	-	109.828
Loans and Receivables	117.276	200.187	260.985	1.397	-	5.684	585.529
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	88	-	354	-	-	9.484	9.926
Total Assets	591.547	898.041	1.662.105	54.321	-	333.635	3.539.649
Liabilities							
Bank Deposits	496.717	805.536	1.702.479	-	-	22.428	3.027.160
Other Deposits	3.668	12.308	2.131	-	-	46.501	64.608
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	41.930	41.930
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	25.226	175.002	24.884	-	-	-	225.112
Other Liabilities ⁽²⁾	6.645	7.928	146	-	-	166.120	180.839
Total Liabilities	532.256	1.000.774	1.729.640	-	-	276.979	3.539.649
Balance Sheet Long Position	59.291	-	-	54.321	-	56.656	170.268
Balance Sheet Short Position	-	(102.733)	(67.535)	-	-	-	(170.268)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	59.291	(102.733)	(67.535)	54.321	-	56.656	-

(1) "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

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VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

31 December 2012	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	-	-	-
Banks and Other Institutions	3,64	-	-	12,93
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	5,00
Available-for-Sale Financial Assets	8,00	-	-	9,32
Loans and Receivables	9,83	-	-	15,85
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	2,14	-	-	-
Other Deposits	3,54	1,64	-	4,00
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December 2011	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	-	-	-
Banks and Other Institutions	3,73	2,87	2,57	6,44
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	5,00
Available-for-Sale Financial Assets	8,17	-	-	8,56
Loans and Receivables	8,67	-	-	11,75
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	3,30	-	-	8,73
Other Deposits	3,56	1,75	-	6,88
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	2,85	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Interest rate risk resulting from banking book:

According to "Regulation on Equities of Banks" published in the official gazette no 26333 dated 1 November 2006 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items which are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank's net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch's balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities, which having a fixed term, are sensitive to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank's net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank's net interest income and negative economic value caused by the base of interest rate increase or decrease in the Bank's operations. The Branch has not used the different base of the operations.

Option risk

The option risk is defined as probable loss from bank's net interest income and negative economic value caused by the option right/liability included embedded. The Branch has not used derivative instruments. There is no interest sensitive items including option except time deposit and the part of amount is immaterial.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Economic value differences resulted from interest rate instabilities calculated according to Regulation on Measurement and Evaluation of Interest Rate Risk Resulted from Banking Book as per Standard Shock Method is as follows:

Type of Currency	Shocks Applied (+/- basis points)	Gains/Losses	Gains/Equity- Losses/Equity
1. TL	(+) 500	(1.400)	(0,8) %
	(-) 400	1.200	0,6%
2. USD	(+) 200	7	0,00%
	(-) 200	-	0,00%
3. EUR	(+) 200	(269)	(0,14) %
	(-) 200	1	0,00%
Total (of negative shocks)		1.201	0,6%
Total (of positive shocks)		(1.662)	(0,9) %

Position risk of equity securities in banking book:

The Branch has no position risk of equity shares.

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VII. EXPLANATIONS ON LIQUIDITY RISK:

Liquidity risk arises from the mismatching of maturities of assets and liabilities. The Branch balances the maturities of the related assets and liabilities, keeps the mismatch of maturities under control. Major objective of the Branch's asset and liability management is to ensure that sufficient liquidity is available to meet the Branch's commitments to customers and to satisfy the Branch's own liquidity needs.

The most important funding resources of the Branch for long-term and short-term liquidity needs are the headquarters and other banks.

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified ⁽¹⁾	Total
31 December 2012								
Assets								
Cash and the Central Bank of the Republic of Turkey	42.125	12.100	-	-	-	-	-	54.225
Banks	95.715	39.202	13.583	23.582	-	-	-	172.082
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	67.709	-	-	-	-	-	67.709
Available-for-sale Financial Assets	-	-	42.026	26.980	4.725	-	-	73.731
Loans and Receivables	-	9.071	5.285	4.131	5.486	-	5.649	29.622
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	-	22	-	633	-	-	10.015	10.670
Total Assets	137.840	128.104	60.894	55.326	10.211	-	15.664	408.039
Liabilities								
Bank Deposits	83.273	28.986	21.025	20.482	-	-	-	153.766
Other Deposits	34.068	10.762	8.998	2.127	-	-	-	55.955
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	7.376	-	-	-	-	-	-	7.376
Other Liabilities ⁽²⁾	-	1.048	1.152	150	-	-	188.592	190.942
Total Liabilities	124.717	40.796	31.175	22.759	-	-	188.592	408.039
Net Liquidity Gap	13.123	87.308	29.719	32.567	10.211	-	(172.928)	-
31 December 2011								
Total Assets	223.073	686.941	898.041	1.662.105	54.321	-	15.168	3.539.649
Total Liabilities	211.814	433.598	1.000.774	1.729.640	-	-	163.823	3.539.649
Net Liquidity Gap	11.259	253.343	(102.733)	(67.535)	54.321	-	(148.655)	-

(1) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, investments, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(2) Shareholders' Equity is presented under the "Other Liabilities" item in the "Unallocated" column.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Securitization Positions

None.

Credit Risk Mitigation Techniques

The Bank applies simple financial collateral method based on the Article 19 of the Communiqué on financial collateral that includes the effects of risk mitigation calculations at fair value in compliance with the Article 33 of the "Regulation on Credit Risk Mitigation Techniques".

For mitigating the credit risk, only cash and cash equivalents are used.

In cases, where there are maturity mismatches resulting from shorter remaining life of collateral than of receivables, the value of collateral is considered as the volatility-adjusted value.

Exposure Categories	Amount(**)	Financial Collaterals	Other/Physical Collaterals	Guaranties and Credit Derivatives
Conditional and unconditional receivables from central governments or central banks	148.492	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	188.766	53.075	-	-
Conditional and unconditional receivables from Corporates	44.442	3.438	10.703	-
Conditional and unconditional retail receivables	738	58	158	-
Conditional and unconditional receivables secured by Mortgages	-	-	-	-
Past due receivables(*)	5.791	-	5.791	-
Receivables defined in high risk category by BRSA	320	-	-	-
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	32.428	-	-	-

(*)The mortgages used for the determination of the risk categories as per the article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks", are excluded.

(**) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Explanations on risk management objectives and policies

Risk is defined as a possibility of reduction in economic benefit in case of emerging a monetary loss related to a process or activity occurring an expense or loss.

The Bank is exposed to some risks due to perform activities in order to achieve its targets.

Purpose of the risk management is to ensure that identification, measurement, reporting, monitoring, controlling of the risks exposed, in line with determinated application procedures and the limits, and internal capital requirements consistent with the adopted risk profile within this context.

While risk management policies and procedures are determining , matters which are written below are considered

- The bank's products and activities which has priority and weight, and their volume and property
- The bank's organizational structure and human resources
- Past events and experiences related to risks which will be exposed
- The scope and quality of the data base for the risk management
- The adequacy of the bank's technology and its contribution level of risk monitoring and management activities
- Internal capital requirement and the actual capital levels and the level of risk consistent with these

Risk management policies and procedures are determined and improved by considering bank's size; scope and complexity of activities and variety of used product, etc.

When considered from this point of view, credit risk management is highly important.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Breakdown of financial liabilities according to their remaining contractual maturities:

31 December 2012	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	157.089	30.023	22.609	-	-	209.721
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-
Total	157.089	30.023	22.609	-	-	209.721

31 December 2011	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	569.786	822.471	1.736.645	-	-	3.128.902
Funds Borrowed From Other Financial Institutions	25.257	175.967	25.197	-	-	226.421
Total	595.043	998.438	1.761.842	-	-	3.355.323

(1) Sundry Creditors include cash guarantees amounting to TL1.051.725 thousand that have been obtained from Bank Mellat Iran Head Office in return for granting loans.

VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES:

The expected fair value of the demand deposits represents the amount to be paid upon request. The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates.

The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates. For the loans with floating interest rates, it is assumed that the carrying value reflects the fair value.

The following table summarises the carrying values and fair values of some financial assets and liabilities of the Branch. The carrying value represents the acquisition costs and accumulated interest accruals of corresponding financial assets or liabilities.

	Carrying Value		Fair Value	
	31 December 2012	31 December 2011	31 December 2012	31 December 2011
Financial Assets	275.435	3.276.393	275.924	3.276.356
Banks	172.082	2.581.036	172.082	2.581.036
Available-for-sale Financial Assets	73.731	109.828	73.731	109.828
Loans and Receivables	29.622	585.529	30.111	585.492
Financial Liabilities	217.097	3.358.810	217.097	3.358.810
Bank Deposits	209.721	3.091.768	209.721	3.091.768
Funds Borrowed	-	225.112	-	225.112
Sundry Creditors	7.376	41.930	7.376	41.930

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES (Continued):

TFRS 7, "Financial Instruments: Disclosures", requires classification of line items at fair value presented at financial statements according to the defined levels. These levels depend on the observability of data used during fair value calculations. Classification for fair value is as follows:

Level 1: Assets or liabilities with prices recorded (unadjusted) in active markets

Level 2: Assets or liabilities that are excluded in the Level 1 of recorded prices directly observable by prices or indirectly observable derived through prices observable from similar assets or liabilities

Level 3: Assets and liabilities where no observable market data can be used for valuation

According to these classification principles stated, the Group's classification of financial assets and liabilities carried at their fair value are as follows:

31 December 2012	Level 1	Level 2	Level 3	Total
Financial Assets at Fair Value Through Profit or (Loss) (Net)	-	-	-	-
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	45.035	-	28.696	73.731
Public Debt Securities	44.036	-	-	44.036
Other Marketable Securities(1)	999	-	28.696	29.695
Total Assets	45.035	-	28.696	73.731
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-
31 December 2011	Seviye 1	Seviye 2	Seviye 3	Toplam
Financial Assets at Fair Value Through Profit or (Loss) (Net)	-	-	-	-
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	84.855	-	24.973	109.828
Public Debt Securities	80.551	-	-	80.551
Other Marketable Securities(1)	4.304	-	24.973	29.277
Total Assets	84.855	-	24.973	109.828
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-

IX. EXPLANATIONS ON ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PARTIES AND FIDUCIARY ASSETS:

The Branch does not perform buying transactions on behalf of customers, and gives custody, administration and advisory services. The Branch does not deal with fiduciary transactions.

SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS:

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT"):

1. Information related to cash and the account of CBRT:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
Cash	3.104	19.247	3.265	21.852
The CBRT	2.729	29.145	9.650	155.045
Other	-	-	-	-
Total	5.833	48.392	12.915	176.897

2. Information related to the account of the CBRT:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
Demand Unrestricted Account ⁽¹⁾	303	-	109	-
Time Unrestricted Account	-	-	-	-
Time Restricted Account	2.426	12.100	9.541	85.853
Reserve Requirement	-	17.045	-	69.192
Total	2.729	29.145	9.650	155.045

⁽¹⁾ The TL reserve requirement booked as average has been classified in "Central Bank Demand Unrestricted Account" based on the correspondence with BRSA as of 3 January 2008.

3. Information on reserve requirements:

As of 31 December 2012, the reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 5% to 11% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 6% to 11% depending on the maturity of deposits.

b. Information on financial assets at fair value through profit or loss:

As of 31 December 2011, the Branch does not have any financial assets at fair value through profit or loss (31 December 2011: None).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

c. Information on Banks:

1. Information on banks:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
Banks				
Domestic	1.701	15.311	42.954	26.528
Foreign	706	5.551	13.776	67.331
Head Quarters and Branches Abroad	62.766	86.047	80.714	2.349.733
Other Financial Institutions	-	-	-	-
Total	65.173	106.909	137.444	2.443.592

2. Information on foreign banks account::

	Unrestricted Amount		Restricted Amount	
	31 December 2012	31 December 2011	31 December 2012	31 December 2011
EU Countries	3.536	3.757	-	-
USA, Canada	-	-	-	-
OECD Countries ⁽¹⁾	-	-	-	-
Off-Shore Banking Regions	-	-	-	-
Other	2.721	77.350	-	-
Total	6.257	81.107	-	-

⁽¹⁾ OECD countries except EU countries, USA and Canada.

d. Information on available-for-sale financial assets, net:

- As of 31 December 2012 there are no available for-sale-financial assets subject to repo transactions (31 December 2011: None).
- As of 31 December 2012 there are no available-for-sale financial assets given as collateral/blocked amount (31 December 2011: None).
- Information on available-for-sale financial assets:

	31 December 2012	31 December 2011
Debt Securities	73.731	109.828
Quoted on Stock Exchange	45.035	84.855
Not Quoted	28.696	24.973
Share Certificates	-	-
Quoted on Stock Exchange	-	-
Not Quoted	-	-
Impairment Provision (-)	-	-
Total	73.731	109.828

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	31 December 2012		31 December 2011	
	Cash	Non-cash	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders	-	-	-	-
Corporate Shareholders	-	-	-	-
Real Person Shareholders	-	-	-	-
Indirect Loans Granted to Branch's Shareholders	-	-	-	-
Loans Granted to Branch's Employees	217	14	197	14
Total	217	14	197	14

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

Cash Loans	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	15.245	-	-	8.728	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial	2.408	-	-	456	-	-
Consumer Loans	489	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	12.348	-	-	8.272	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	15.245	-	-	8.728	-	-

(*)Discount notes are included that the balance.

Loans and other receivables with extended payment plans;

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
1 or 2 times	-	-
3, 4 or 5 times	-	-
Over 5 times	-	-

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
 (Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

Loans and other receivables with extended payment plans (continued):

Extention Periods	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
0 - 6 months	-	-
6 - 12 months	-	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

3. Maturity analysis of cash loans:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	9.712	-	8.728	-
Non-specialised Loans	9.712	-	8.728	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	5.533	-	-	-
Non-specialised Loans	5.533	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
 (Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards::

31.12.2012	Short-term	Long and medium term	Total
Consumer Loans - TL	122	150	272
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	150	150
Other	122	-	122
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	1	216	217
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	1	3	4
Other	-	213	213
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	123	366	489

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

**4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards
(continued):**

31.12.2011	Short-term	Long and medium term	Total
Consumer Loans - TL	2	-	2
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	2	-	2
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	197	197
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	1	1
Other	-	196	196
Personnel Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	2	197	199

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
 (Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

5. Information on commercial installment loans and corporate credit cards:

	31 December 2012			31 December 2011		
	Short Term	Medium and Long Term	Total	Short Term	Medium and Long Term	Total
Commercial Loans with Installment Facility - TL	2.031	4.469	6.500	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	2.031	4.469	6.500	-	-	-
Commercial Loans with Installment Facility - FC Indexed	-	771	771	-	1.235	1.235
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	771	771	-	1.235	1.235
Commercial Loans with Installment Facility - FC	-	-	-	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards - TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non - Installment	-	-	-	-	-	-
Corporate Credit Cards - FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non - Installment	-	-	-	-	-	-
Overdraft Accounts - TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts - FC (Legal Entities)	-	-	-	-	-	-
Total	2.031	5.240	7.271	-	1.235	1.235

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

6. (i) Information on loans by types and specific provisions:

31 December 2012	Corporate Loans	Consumer Loans	Total
Standart loans	23.484	489	23.973
Non-Performing loans	7.644	-	7.644
Specific Provisions (-)	(1.995)	-	(1.995)
Total	29.133	489	29.622

31 December 2011	Corporate Loans	Consumer Loans	Total
Standart loans	579.646	199	579.845
Non-Performing loans	7.653	-	7.653
Specific Provisions (-)	(1.969)	-	(1.969)
Total	585.330	199	585.529

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

6. (ii) Fair value of collaterals (Loans and advances given to customers):

31 December 2012	Corporate Loans	Consumer Loans	Total
Watch listed	8.728	-	8.728
Non-Performing loans	5.649	-	5.649
Total	14.377	-	14.377

31 December 2011	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans	49.088	-	49.088
Total	49.088	-	49.088

7. Loans according to type of borrowers::

	31 December 2012	31 December 2011
Public	-	-
Private	23.973	579.845
Total	23.973	579.845

8. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	31 December 2012	31 December 2011
Domestic Loans	8.915	444.934
Foreign Loans	15.058	134.911
Total	23.973	579.845

9. Loans granted to investments in associates and subsidiaries:

None (31 December 2011: None).

10. Specific provisions provided against loans:

	31 December 2012	31 December 2011
Loans and other receivables with limited collectibility	-	-
Loans and other receivables with doubtful collectibility	-	(24)
Uncollectible loans and other receivables	(1.995)	(1.945)
Total	(1.995)	(1.969)

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

11. Information on non-performing loans (Net):

11 (i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

11 (ii) Information on the movement of total non-performing loans:

	III. Group Loans and Other Receivables with Limited Collectibility	IV. Group Loans and Other Receivables with Doubtful Collectibility	V. Group Uncollectible Loans and Other Receivables
31 December 2011	-	195	7.458
Additions (+)	-	-	6
Transfers from other categories of non-performing loans (+)	-	-	180
Transfers to other categories of non-performing loans (-)	-	(180)	-
Collections (-)	-	(15)	-
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2012	-	-	7.644
Specific provisions (-)	-	-	(1.995)
Net Balance on Balance Sheet	-	-	5.649

	III. Group Loans and Other Receivables with Limited Collectibility	IV. Group Loans and Other Receivables with Doubtful Collectibility	V. Group Uncollectible Loans and Other Receivables
31 December 2010	-	-	172
Additions (+)	7.357	195	-
Transfers from other categories of non-performing loans (+)	-	7.357	7.357
Transfers to other categories of non-performing loans (-)	(7.357)	(7.357)	-
Collections (-)	-	-	(45)
Write-offs (-)	-	-	(26)
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2011	-	195	7.458
Specific provisions (-)	-	(24)	(1.945)
Net Balance on Balance Sheet	-	171	5.513

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (continued):

11. Information on non-performing loans (Net) (continued):

11 (iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

11 (iv) Information on non-performing loans according to user groups

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited	Loans and Other Receivables with Doubtful	Uncollectible Loans and Other Receivables
31 December 2012 (Net)	-	-	5.649
Loans to real and legal persons (Gross)	-	-	7.644
Specific provisions (-)	-	-	(1.995)
Loans to real and legal persons (Net)	-	-	5.649
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2011 (Net)	-	171	5.513
Loans to real and legal persons (Gross)	-	195	7.458
Specific provisions (-)	-	(24)	(1.945)
Loans to real and legal persons (Net)	-	171	5.513
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

12. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on the write-off policy

The Bank's general policy for write-offs of loans and receivables under follow-up is to write of such loans and receivables that are proven to be uncollectible in legal follow-up process.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

g. Information on held-to-maturity investments:

As of 31 December 2012 and 31 December 2011, the Branch has no held-to-maturity securities.

h. Information on investment in associates (Net):

As of 31 December 2012 and 31 December 2011, the Branch has no investments in associates.

i. Information on subsidiaries (Net):

As of 31 December 2012 and 31 December 2011, the Branch has no subsidiaries.

j. Information on joint ventures:

As of 31 December 2012 and 31 December 2011, the Branch has no joint ventures.

k. Information on finance lease receivables (Net):

As of 31 December 2012 and 31 December 2011, the Branch has no finance lease receivables.

l. Explanations on hedging derivative instruments:

None (31 December 2011: None).

m. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
31 December 2011				
Cost	10.533	311	462	11.306
Accumulated depreciation	(2.297)	(166)	(148)	(2.611)
Net book value	8.236	145	314	8.695
31 December 2012				
Net book value at beginning of the year	8.236	145	314	8.695
Additions	63	71	99	233
Disposals, net	-	-	-	-
Transfers	-	-	-	-
Depreciation	(164)	(74)	(93)	(331)
Depreciation, Disposals	-	(1)	(1)	(2)
Depreciation, Transfers	-	-	-	-
Closing net book value	8.135	141	319	8.595
Cost at year end	10.596	382	529	11.507
Accumulated depreciation at year end	(2.461)	(241)	(210)	(2.912)
Closing net book value	8.135	141	319	8.595

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

n. Explanations on intangible assets:

	Software	Total
31 December 2012		
Net book value at beginning of the year	86	86
Additions	565	565
Disposals, net	-	-
Transfers	-	-
Depreciation	(100)	(100)
Depreciation, Disposals	4	4
Depreciation, Transfers	-	-
Closing net book value	555	555
Cost at year end	694	694
Accumulated depreciation at year end	(139)	(139)
Closing net book value	555	555

o. Explanations on investment property:

None (31 December 2011: None).

p. Explanations on investment property:

The Branch has no fiscal loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL494 thousand (31 December 2011: TL468 thousand) on net basis to deferred tax assets.

	31 December 2012		31 December 2011	
	Tax Base	Deferred Tax	Tax Base	Deferred Tax
Property, equipment and intangibles, net	1.155	231	1.352	270
Reserves for employment termination benefit	867	174	618	124
Court case provision	447	89	371	74
Total deferred tax asset	-	494	-	468
Total deferred tax liability	-	-	-	-
Deferred Tax Asset, net	-	494	-	468

r. Explanations on assets held for resale:

None (December 2011: None).

s. Explanations on other assets::

Other assets amount to TL1.026 thousand (31 December 2011: TL 677 thousand) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES:

a. Information on deposits

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2012:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	98	10	8	3	-	2	121
Foreign Currency Deposits	26.123	450	1.843	1.204	357	7.986	37.963
Residents in Turkey	8.405	266	1.486	282	153	242	10.834
Residents Abroad	17.718	184	357	922	204	7.744	27.129
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	7.818	-	10.022	-	-	-	17.840
Other Institutions Deposits	30	-	1	-	-	-	31
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	83.274	-	17.606	-	45.180	7.706	153.766
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	83.274	-	17.606	-	45.180	7.706	153.766
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	117.343	460	29.480	1.207	45.537	15.694	209.721

(ii) 31 December 2011:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	121	109	20	3	-	2	255
Foreign Currency Deposits	35.223	568	4.956	1.418	27	8.116	50.308
Residents in Turkey	16.425	272	4.552	515	-	246	22.010
Residents Abroad	18.798	296	404	903	27	7.870	28.298
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	13.931	-	-	-	-	-	13.931
Other Institutions Deposits	37	-	77	-	-	-	114
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	118.277	41.070	28.248	126.562	2.518.626	194.377	3.027.160
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	118.277	41.070	28.248	126.562	2.518.626	194.377	3.027.160
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	167.589	41.747	33.301	127.983	2.518.653	202.495	3.091.768

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES: (Continued)

a. Information on deposits (Continued):

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2012	31 December 2011	31 December 2012	31 December 2011
Saving Deposits	109	228	12	27
Foreign Currency Saving Deposits	2.430	2.941	2.995	6.375
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities' Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (31 December 2011: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	31 December 2012	31 December 2011
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Directors, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	781	519
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of 31 December 2012 and 31 December 2011, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
Borrowings from the CBRT	-	-	-	-
From Domestic Bank and Institutions	-	-	-	-
From Foreign Banks, Institutions and Funds	-	-	-	225.112
Total	-	-	-	225.112

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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

c. Information on borrowings (Continued):

2. Information on maturity structure of borrowings:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
Short-term	-	-	-	225.112
Medium and Long-term	-	-	-	-
Total	-	-	-	225.212

The funding sources of the Branch are deposits and borrowings. Major funding sources are loans borrowed from the Headquarters and other Iranian financial institutions (31 December 2011: TL 2.755.384 thousand). The amount which had been previously recorded under sundry creditors on the balance sheet, has been recorded under deposit account since 27 May 2011 according to the correspondence with BRSA letter numbered 11803 dated on 13 May 2011.

d. Information on other liabilities:

Other liabilities amount to TL 1.831 thousand (31 December 2011: TL 8.934 thousand) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of 31 December 2012 and 31 December 2011, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (31 December 2011: None).

g. Information on provisions:

1. Information on general loan loss provisions:

	31 December 2012	31 December 2011
General Loan Loss Provisions		
Loans and Receivables in Group I	620	1.913
- Additional Provision for Loans and Receivables with extended maturities	-	-
Loans and Receivables in Group II	174	-
- Additional Provision for Loans and Receivables with extended maturities	-	-
Non-Cash Loans	71	34
Others	1.298	2.983
Total	2.163	4.930

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on provisions (Continued):

2. Information on reserve for employee rights (Continued):

	31 December 2012	31 December 2011
Discount rate (%)	2,19	4,66
Rate for the Probability of Retirement (%)	93	96

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 3.129,25 (1 January 2012: TL 2.917,17) effective from January 1, 2013 has been taken into consideration in calculating the reserve for employment termination benefits.

Movements in the reserve for employment termination benefits during the periods are as follows:

	31 December 2012	31 December 2011
Prior Period Ending Balance	470	395
Provisions Recognised During the Period	46	75
Paid During the Period (-)	-	-
Reversed During the Period (-)	(12)	-
Balance at the End of the Period	504	470

In addition as of , the Branch has provided a provision for unused vacation rights amounting to TL 363 thousand as of 31 December 2012 (31 December 2011: TL148 thousand).

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of 31 December 2012, the Branch has provision related to foreign currency difference of foreign indexed loans amounting to TL 73 thousand (31 December 2011: TL 63 thousand).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of 31 December 2012, the Branch has specific provision for non-cash loans amounting to TL 47 thousand (31 December 2011: TL 25 thousand).

5. Information on other provisions:

(i) Information on provisions for possible risks::

As of 31 December 2012 and 31 December 2011, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

In the second quarter of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2012, the Branch had prudently provided a provision amounting to TL 447 thousand (31 December 2011: TL 371 thousand, the remaining TL 25 thousand provision is provided for indemnified cash loans). The remaining provision amounting to TL 47 thousand is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

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(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

h. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	31 December 2012	31 December 2011
Corporate Tax Payable	1.152	7.928
Taxation of Marketable Securities	19	46
Property Tax	2	-
Banking Insurance Transaction Tax (BITT)	87	546
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	12	9
Other	130	129
Total	1.402	8.658

(ii) Information on premium payables:

	31 December 2012	31 December 2011
Social Security Premiums -- Employee	39	35
Social Security Premiums -- Employer	58	53
Bank Social Aid Pension Fund Premiums -- Employee	-	-
Bank Social Aid Pension Fund Premiums -- Employer	-	-
Pension Fund Membership Fees and Provisions -- Employee	-	-
Pension Fund Membership Fees and Provisions -- Employer	-	-
Unemployment Insurance -- Employee	3	2
Unemployment Insurance -- Employer	5	4
Other	-	-
Total	105	94

3. Information on deferred tax liability:

The Branch has no deferred tax liability (31 December 2011: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (31 December 2011: None).

j. Explanations on subordinated loans:

The Branch has no subordinated loans as of 31 December 2012 and 31 December 2011.

k. Information on shareholders' equity:

1. Presentation of paid-in capital: Since the entity has the status of a branch, paid-in capital is not received in exchange for shares.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

k. Information on shareholders' equity (Continued):

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	156.914	156.914

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

Branch's capital increasement from total internal sources is TL 103.259 and this amount consist of both TL 103.183 in the current period from retained earnings and TL 76 thousand from deferred tax asset no longer required from retained earnings (31 December 2011: None).

4. Information on share capital increases from capital reserves in current period:

TL 76 thousand from deferred tax no longer required from retained earnings has been accounted under the retained earnings, after capital approval this balance has been added to the capital (31 December 2011: None).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

None (31 December 2011: None).

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainties and their possible effects on shareholders' equity:

There is no adverse change expected in the profitability and liquidity of the Branch.

7. Summarised information about privileges given to shares representing the capital:

None (31 December 2011: None).

l. Information on marketable securities value increase fund:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	348	-	(930)	-
Foreign Currency Difference	-	-	-	-
Total	348	-	(930)	-

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III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS:

a. Explanations on off-balance sheet commitments:

1. Type and amount of irrevocable commitments:

As of 31 December 2012, all commitments of the Branch are irrevocable. The commitments for cheques is TL 116 thousand (31 December 2011: TL 177 thousand).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments".

(i). Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2012	31 December 2011
Bank acceptance loans	-	-
Letters of credit	189	9.730
Other guarantees	717	38.301
Total	906	48.031

(ii). Revocable, irrevocable guarantees and other similar commitments and contingencies:

	31 December 2012	31 December 2011
Revocable letters of guarantee	-	855
Irrevocable letters of guarantee	10.453	12.108
Letters of guarantee given in advance	5.069	7.616
Guarantees given to customs	-	-
Other letters of guarantees	-	-
Total	15.522	20.579

3. (i) Total amount of non-cash loans:

	31 December 2012	31 December 2011
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	16.428	68.610
Total	16.428	68.610

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**III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):**

a. Explanations on off-balance sheet commitments (Continued):

(ii) Information on sectoral risk concentrations of non-cash loans:

	31 December 2012				31 December 2011			
	TL	(%)	FC	(%)	TL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock.	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	704	4,77	2	0,10	1.256	1,89
Mining	-	-	-	-	-	-	-	-
Production	-	-	704	4,77	2	0,10	1.256	1,89
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	11.388	77,12	-	-	654	0,98
Services	512	30,81	2.359	15,98	880	43,48	10.357	15,55
Wholesale and Retail Trade	442	26,59	189	1,28	800	39,53	9.465	14,21
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	-	-	35	0,24	-	-	37	0,06
Financial Institutions	-	-	1.250	8,47	-	-	855	1,28
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	70	4,22	885	5,99	-	-	-	-
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	80	3,95	-	-
Other	1.150	69,19	315	2,13	1.142	56,42	54.319	81,58
Total	1.662	100,00	14.766	100,00	2.024	100,00	66.586	100,00

(iii) Information on non-cash loans classified in Group I and Group II:

31 December 2012	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	1.649	13.873	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	189	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	13	704	-	-
Total	1.662	14.766	-	-

31 December 2011	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	1.373	19.206	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	288	9.442	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	363	37.938	-	-
Total	2.024	66.586	-	-

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**III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):**

a. Explanations on off-balance sheet commitments (Continued):

(iv) Maturity distribution of non-cash loans:

31 December 2012 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	-	189	-	-	189
Letter of Guarantee	15.014	16	492	-	15.522
Other	717	-	-	-	717
Total	15.731	205	492	-	16.428

31 December 2011 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	-	9.730	-	-	9.730
Letter of Guarantee	20.523	56	-	-	20.579
Other	38.301	-	-	-	38.301
Total	58.824	9.786	-	-	68.610

⁽¹⁾ The distribution is based on the original maturities.

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of 31 December 2012 and 31 Decemeber 2011.

c. Explanations on contingent liabilities and assets:

In the second quarter of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2012, the Branch had prudently provided a provision amounting to TL 447 thousand (31 December 2011: TL 371 thousand). The remaining provision amounting to TL 47 thousand is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

d. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account as of 31 December 2012 and 31 December 2011.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT:

a. Information on interest income:

1. Information on interest income on loans:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
Short-Term Loans	4.681	14.610	4.193	63.266
Medium and Long-Term Loans	468	-	45	353
Interest on Non-Performing loans	-	-	-	150
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	5.149	14.610	4.238	63.769

2. Information on interest income on banks:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
From the CBRT	-	-	-	-
From Domestic Banks	1.322	355	5.697	176
From Foreign Banks	269	140	271	30
Headquarters and Branches Abroad	3.150	35.635	4.635	78.146
Total	4.741	36.130	10.603	78.352

3. Information on interest income on marketable securities:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
From Trading Financial Assets	-	-	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
From Available-for-Sale Financial Assets	5.983	1.942	8.871	1.923
From Held-to-Maturity Investments	-	-	-	-
Total	5.983	1.942	8.871	1.923

4. Information on interest income received from investments in associates and subsidiaries:

The Branch has no interest income received from investments in associates and subsidiaries (31 December 2011: None).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense:

1. Information on interest expense on borrowings:

	31 December 2012		31 December 2011	
	TL	FC	TL	FC
Banks	-	3.669	-	7.143
The CBRT	-	-	-	-
Domestic Banks	-	-	-	-
Foreign Banks	-	3.669	-	5.170
Headquarters and Branches Abroad	-	-	-	1.973
Other Institutions	-	-	-	-
Total	-	3.669	-	7.143

2. Information on interest expense given to investments in associates and subsidiaries:

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2011: None).

3. Interest expense on Securities Issued:

The Branch has no interest expense given to securities issued (31 December 2011: None).

4. Maturity structure of the interest expense on deposits:

There are no deposits with seven days notification and accumulative deposits.

	Demand Deposits	Time Deposit					
		Up to 1 Month		Up to 1 Month		Up to 1 Month	
TL							
Bank Deposits	144	-	-	-	4.054	-	4.198
Saving Deposits	-	5	1	-	-	-	6
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	645	631	-	-	-	1.276
Other Deposits	-	-	-	-	-	-	-
Total	144	650	632	-	4.054	-	5.480
FC							
Foreign Currency Deposits	-	13	79	37	5	280	414
Bank Deposits	2	-	-	-	33.342	-	33.344
Gold Vault	-	-	-	-	-	-	-
Total	2	13	79	37	33.347	280	33.758
Grand Total	146	663	711	37	37.401	280	39.238

c. Explanations on dividend income:

None (31 December 2011: None).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

d. Explanations on trading loss/income (Net):

	31 December 2012	31 December 2011
Income	7.394	10.439
Income from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Gains	7.394	10.439
Loss (-)	(6.636)	(5.764)
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Loss	(6.636)	(5.764)
Net Income / Loss	758	4.675

e. Explanations on other operating income:

There are no extraordinary items included in other operating income.

f. Provision expenses related to loans and other receivables of the Branch:

	31 December 2012	31 December 2011
Specific Provisions for Loans and Other Receivables	50	1.984
III. Group Loans and Receivables	-	9
IV. Group Loans and Receivables	-	40
V. Group Loans and Receivables	50	1.935
General Provision Expenses	-	3.430
Provision Expense for Possible Risks	-	-
Marketable Securities Impairment Expense	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-
Available-for-sale Financial Assets	-	-
Investments in Associates, Subsidiaries and Held-to-Maturity Securities	-	-
Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Held-to-maturity Securities	-	-
Other	-	-
Total	50	5.414

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

g. Information related to other operating expenses:

	31 December 2012	31 December 2011
Personnel Expenses	6.494	6.179
Reserve for Employee Termination Benefits	46	75
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	331	318
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	100	48
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	1.153	1.177
Operational Leasing Expenses	-	-
Maintenance Expenses	113	73
Advertisement Expenses	22	19
Other Expenses	1.018	1.085
Loss on Sales of Assets	-	-
Other	6.831	3.292
Total	14.955	11.089

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL 33.315 thousand (31 December 2011: TL 58.877 thousand), net fee and commission income amounting to TL 9.205 thousand (31 December 2011: TL 26.126 thousand) and total other operating expense amounting TL 14.955 thousand (31 December 2011: TL 11.089 thousand).

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

As of 31 December 2012, the Branch has a current tax expense of TL 6.025 thousand (31 December 2011: TL 15.219 thousand) and deferred tax income of TL 113 thousand (31 December 2011: TL 191 thousand expense).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

The Branch calculated net deferred tax income of TL 113 thousand (31 December 2011: deferred tax expense of TL 191 thousand) due to the occurrence of temporary differences as of 31 December 2012.

3. Explanations on reflection of temporary difference, financial loss, diminution of tax and exceptions on income statement:

As of 31 December 2012, the Branch has TL 113 thousand deferred tax expense due to the occurrence of temporary differences (31 December 2011: TL 191 thousand expense)

j. Explanations on net income/loss for the period:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

k. Other items do not exceed 10% of the total income statement.

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY:

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (31 December 2011: None).

c. Information on capital increase:

TL 103.259 thousand amount of capital increase due to the amount of TL 544 thousand of the branch's retained earnings and deferred tax from the undistributed profit for 2009 amounting to TL 18.276 thousand, for 2010 amounting to TL 26.378 thousand and for 2011 amounting to TL 58.529 thousand with a total TL 103.727 regarding the net off of TL 468 thousand deferred tax is announced with respect to BRSA's 27 November 2012 dated no 24111 article and 26 December 2012 dated no 8223 article in the Official Gazette (31 December 2011: None).

d. Explanations on available-for-sale financial assets:

"Unrealised gain/loss" arising from changes in the fair value of securities classified as available-for-sale are not recognised in current year profit or loss statement but recognised in the "Marketable securities value increase fund" account under shareholders' equity, until the financial assets are derecognised, sold, disposed of or impaired.

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EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS:

a. Information on cash and cash equivalents:

- Components of cash and cash equivalents and the accounting policy applied in their determination:

Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents".

- Effect of a change on the accounting policies: None (31 December 2011: None).
- Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

(i). Information on cash and cash equivalents at the beginning of the year:

	31 December 2012	31 December 2011
Cash	2.703.332	516.576
Cash and Effectives	25.117	7.529
Demand Deposits in Banks	2.678.215	509.047
Cash Equivalents	63.500	34.000
Interbank Money Market Placements	63.500	34.000
Time Deposits in Banks	-	-
Total Cash and Cash Equivalents	2.766.832	550.576

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

(ii). Information on cash and cash equivalents at the end of year:

	31 December 2012	31 December 2011
Cash	223.968	2.703.332
Cash and Effectives	22.351	25.117
Demand Deposits in Banks	201.617	2.678.215
Cash Equivalents	67.700	63.500
Interbank Money Market Placements	67.700	63.500
Time Deposits in Banks	-	-
Total Cash and Cash Equivalents	291.668	2.766.832

- Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons:

None (31 December 2011: None).

- Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:

Decrease in the "Other" item amounting to TL 6.933 thousand (31 December 2011: TL 18.105 thousand decrease) which is classified under "Cash flows from banking operations" consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses.

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL (7.133) thousand as of 31 December 2012 (31 December 2011: TL 31.250 thousand).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP:

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. 31 December 2012:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Cash	Non-Cash	Cash
Branch's Risk Group ^{(1), (2)}						
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	2.638.501	16.092
Balance at the End of the Period	-	-	-	-	155.542	1.250
Interest and Commission Income Received	-	-	-	-	9.906	195

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

2. 31 December 2011:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Cash	Non-Cash	Cash
Branch's Risk Group ^{(1), (2)}						
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	621.744	16.172
Balance at the End of the Period	-	-	-	-	2.638.501	16.092
Interest and Commission Income Received	-	-	-	-	101.312	6.156

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

Branch's risk group ⁽¹⁾	Investments in Associates, Subsidiaries and Joint Ventures		Direct and Indirect Shareholders of the Branch		Other Real and Legal Persons That Have Been Included in the Risk Group	
	31 December 2012	31 December 2011	31 December 2012	31 December 2011	31 December 2012	31 December 2011
Deposit						
Balance at the Beginning of the Period	-	-	-	-	2.953.541	347.620
Balance at the End of the Period ⁽²⁾	-	-	-	-	150.950	2.953.541
Interest Expense on Deposits	-	-	-	-	33.412	91.973

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.

(2) As of 31 December 2012, the TL 130.429 thousand of the TL 150.950 thousand included in balance sheet Deposits – Risk Group is composed of Bank Mellat Head Office. TL 20.521 thousand is composed of Iran Central Bank.

(As of 31 December 2011, the TL2.755.384 thousand of the TL2.953.541 thousand included in balance sheet Deposits – Risk Group is composed of Bank Mellat Head Office. TL157.604 thousand is composed of Iran Central Bank.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued):

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period (Continued):

4. Information on borrowings from the Branch's risk group:

Branch's risk group ⁽¹⁾	Associates and subsidiaries		Direct and indirect shareholders of the Branch		Other items that have been included in the risk group ⁽²⁾	
	31 December 2012	31 December 2011	31 December 2012	31 December 2011	31 December 2012	31 December 2011
Borrowings						
Beginning of the Period					225.112	1.093.273
End of the Period						225.112
Interest Expense					3.669	5.170

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) 31 December 2012- None (31 December 2011: TL 225.112 thousand).

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group:

The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2012 and 31 December 2011.

6. Information on benefits provided to key management:

31 Aralık 2012 tarihi itibarıyla Şube üst yönetimine 1.682 bin TL (31 Aralık 2011: 1.474 bin TL) tutarında ödeme yapılmıştır.

As of 31 December 2012, benefits provided to the Branch's key management amount to TL 1.682 thousand (31 December 2011: TL 1.474 thousand).

VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES AND FOREIGN REPRESENTATIVES OF THE BRANCH

	Number	Number of Employees	Country of Incorporation	Total Assets	Statutory Share Capital
Domestic Branch	3	57			
Foreign Rep. Offices					
Foreign Branch					
Off-Shore Banking Region Branch					

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Within the scope of "Communiqué due to the Amendment of Deposit and Funds Collected subject to Insurance from Saving Deposit Insurance Fund and Premiums that will be received by the Saving Deposit Insurance Fund" published in the Official Gazette numbered 28560 and dated 15 February 2013, the expression "the part of the participation accounts unit account values and special current accounts up to 50 thousand Turkish Liras per person are within the coverage of insurance" was changed as "the sum up to 100 thousand Turkish Liras are within the coverage of the insurance".

SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS:

According to the correspondence with BRSA dated on 13 May 2011 and numbered 11803, receivable and payable transactions between the Branch and Bank Mellat Iran Head Office have to be followed under "Foreign Head Office and Branches" account. The Branch classified its transactions with Bank Mellat Head Office to mentioned accounts in accordance with the correspondence since 27 May 2011.

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT:

The unconsolidated financial statements as of 31 December 2012 have been audited by DRT Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. (a member of Deloitte Touche Tohmatsu Limited).

The independent auditor's report is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR:

There is no significant matter or disclosure which may be in connection with the Bank's operations but not explained in the above sections.